Question #1 of 180

Question ID: 1417961

Courtney Johnson, CFA, manages equity accounts and recommends Reliable Management to clients who ask about fixed-income investments. Reliable, in turn, provides Johnson with equity research. Johnson has not informed her equity clients, who are always very happy with Reliable's performance, of the arrangement with Reliable. Johnson has violated:

A) none of the Standards.

B) the Standard concerning client referrals.

C) the Standard concerning soft dollar arrangements.

Explanation

Standard VI(C) Referral Fees requires members and candidates to disclose to clients and prospects any consideration or benefit received by the member for the recommendation of any service. "Soft dollars" refers to benefits received from client brokerage.

For Further Reference:

(Study Session 19, Module 58.8, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #2 of 180

Question ID: 1417951

Russell Finley, CFA, is a managing director at Wilson Brothers and is responsible for the supervision of all trading and sales operations. Finley receives information indicating that a sales assistant made personal trades on a restricted security. According to the Standard regarding responsibilities of supervisors, the *least appropriate* action for Finley to take is to:

A) begin an investigation to determine the extent of the wrongdoing.

B) restrict and increase the monitoring of the employee’s activities at the firm.

C) speak directly to the employee and attain assurance that the violation will not be repeated.

Explanation

Standard IV(C) Responsibilities of Supervisors explicitly states that speaking to the employee to determine the extent of the violations and receiving assurances that it will not be repeated is not enough. Finley must take positive steps to ensure that the violation will not be repeated, including promptly launching an investigation and limiting the employee's activities and/or increasing supervision of the employee until the results of the investigation are known.

For Further Reference:

(Study Session 19, Module 58.6, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #3 of 180

Question ID: 1417944

Charlotte Stein, a CFA candidate, received a copy of a stock selection model designed by a Wall Street analyst friend, who told her she was free to use it. After reviewing the program and making some adjustments, Stein shows the new model to her supervisor. Her supervisor says she did a great job and tells Stein to incorporate the new model in her next industry review. Stein has:

A) violated the Standard concerning misrepresentation. ✓

B) violated the Standard concerning conflicts of interest. ✗

C) not violated CFA Institute Standards of Professional Conduct. ✗

Explanation

Stein violated Standard I(C) Misrepresentation by presenting material developed by another to her supervisor without disclosing that the work was not her own. (Module 58.2)

For Further Reference:

(Study Session 19, Module 58.2, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #4 of 180

Question ID: 1417956

Justin Matthews, CFA, is chief financial officer of a bank and serves on the bank's investment committee. The majority of the committee has voted to invest in medium-term euro debt. Matthews feels very strongly that this is a poor strategy and that trends in both the exchange rate and in euro interest rates over the next year will result in large losses on the position. According to the Code and Standards, Matthews should *most appropriately*:

A) document his difference of opinion with the committee.

B) express his concerns to the bank's chief executive officer directly.

C) dissociate from the recommendation by asking that his name not be included.

Explanation

Standard V(A) Diligence and Reasonable Basis states that if a consensus opinion has a reasonable basis, a member or candidate who disagrees with it does not have to dissociate from it but should document the difference of opinion.

For Further Reference:

(Study Session 19, Module 58.7, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #5 of 180

Question ID: 1417952

Howard Klein, CFA, supervises a group of research analysts, none of whom is a CFA charterholder or CFA candidate. He has attempted on several occasions to get his firm to adopt a compliance system to ensure that applicable laws and regulations are followed. The firm's principals, however, have never adopted his recommendations. According to CFA Institute Standards of Professional Conduct, Klein at this point:

A) should decline in writing to accept supervisory responsibility until his firm adopts reasonable compliance procedures.

B) needs to take no action because the employees are not CFA charterholders or CFA candidates.

C) must resign from the company and document in writing his reasons for doing so.

Explanation

Under Standard IV(C) Responsibilities of Supervisors, if Klein clearly cannot discharge supervisory responsibilities because of an inadequate compliance system, he should decline in writing to accept the supervisory responsibility until the firm adopts reasonable procedures to allow him to adequately exercise such responsibility.

For Further Reference:

(Study Session 19, Module 58.6, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #6 of 180

Question ID: 1417947

Lisa Crocker, CFA, manages several pension accounts and directs most of her trades to Zeta Brokers, which provides excellent trade execution as well as equities research. Regional Brokers, which also has excellent trading services, has offered to execute trades for Crocker at half the commission rate she pays Zeta, but Regional does not supply equities research. If Crocker declines to switch her business from Zeta to Regional, has she violated any CFA Institute Standards of Professional Conduct?

A) Yes, because she has not obtained explicit permission from her clients to use Zeta. ✗

B) No, if the higher commissions are justified by the value of the research services she receives. ✓

C) Yes, because the Standard concerning loyalty, prudence, and care states that she must minimize trading costs for her accounts. ✗

Explanation

According to Standard III(A) Loyalty, Prudence, and Care, Crocker may pay higher fees without violating her fiduciary duty as long as the research benefits the firm's clients and the commission paid is reasonable in relation to the research and execution of services received.

For Further Reference:

(Study Session 19, Module 58.4, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #7 of 180

Question ID: 1417953

Katrina Anderson, CFA, left her job as an account manager at RTJ Capital Management and joined Parnell Associates. Anderson did not sign a noncompete agreement at RTJ and took no RTJ property with her when she left. According to CFA Institute Standards of Professional Conduct, Anderson:

A) must not harm RTJ by soliciting her previous clients.

B) is free to contact her previous clients at RTJ after her employment there ends.

C) must seek permission from RTJ before contacting her previous clients there.

Explanation

Standard IV(A) Loyalty does not prohibit former employees from contacting clients of their previous firm so long as the contact information does not come from the records of the previous employer or violate a noncompete agreement.

For Further Reference:

(Study Session 19, Module 58.6, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #8 of 180

Question ID: 1417945

Scott Houser, CFA, is a widely known equity analyst whose recommendations often influence share prices. Houser changes his recommendation to "Sell" on Drywall Company and distributes this recommendation only to his clients, many of whom act on the recommendation before it becomes known to the public. Has Houser violated the Code and Standards?

A) No.

B) Yes, he has violated the Standard concerning communications with clients.

C) Yes, he has violated the Standard concerning material nonpublic information.

Explanation

Houser has not violated the Code and Standards. Guidance for Standard II(A) Material Nonpublic Information states that an analyst does not need to make his recommendations public just because investors would want to know about them, and is free to issue recommendations only to his clients. The guideline about what makes information material (i.e., investors would want to have the information before making an investment decision) applies to nonpublic information from the issuer of a security. An analyst covering the security, however, is not an insider with the issuing firm.(Module 58.3)

For Further Reference:

(Study Session 19, Module 58.3, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #9 of 180

Question ID: 1417962

Isabelle Burns, CFA, is an investment advisor and holds shares of Torex in her personal account because she thinks it is undervalued. According to the CFA Institute Standards of Professional Conduct, Burns may:

A) recommend Torex to clients but must disclose her investment in Torex. ✓

B) not recommend Torex to clients while she has a personal investment in the stock. ✗

C) recommend Torex to clients for whom it is suitable without disclosing her investment in Torex. ✗

Explanation

To comply with Standard VI(A) Disclosure of Conflicts, members and candidates must make full disclosure of all matters that could impair their independence. Sell-side members and candidates should disclose to their clients any ownership in a security that they are recommending.

For Further Reference:

(Study Session 19, Module 58.8, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #10 of 180

Question ID: 1417954

Christopher Kim, CFA, is a banker with Batts Brothers, an investment banking firm. Kim follows the energy industry and has frequent contact with industry executives. Kim is contacted by the CEO of a large oil and gas corporation who wants Batts Brothers to underwrite a secondary offering of the company's stock. The CEO offers Kim the opportunity to fly on his private jet to his ranch in Texas for an exotic game hunting expedition if Kim's firm can complete the underwriting within 90 days. According to CFA Institute Standards of Conduct, Kim:

A) may accept the offer as long as he discloses the offer to Batts Brothers.

B) may not accept the offer because it is considered lavish entertainment.

C) must obtain written consent from Batts Brothers before accepting the offer.

Explanation

According to Standard IV(B) Additional Compensation Arrangements, members and candidates must obtain written permission from their employer before accepting an offer of compensation (for the performance of work done for their employer) in addition to what they receive from their employer and that is contingent on future performance.

For Further Reference:

(Study Session 19, Module 58.6, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #11 of 180

Question ID: 1417949

Kim Vance, CFA, tells a prospective client, "Over the three years I have been in the business, my equity-oriented accounts have had a mean return of more than 20% a year." The statement is accurate, but the mean return was influenced by the account of one client realizing a large gain on a position in a small-cap company he took based on his own research. Without this account, the average gain would have been 18% per year. Has Vance violated CFA Institute Standards of Professional Conduct?

A) Yes, because the statement misrepresents Vance’s performance.

B) Yes, because returns for an equities composite must be asset- weighted.

C) No, because it is accurate and Vance has not guaranteed such returns in the future.

Explanation

Standard III(D) Performance Presentation requires that statements about performance be not only accurate but also fair and complete. While Vance's statement may be accurate in a technical sense, it is neither fair nor complete, and it seems intended to mislead prospects about Vance's past performance in managing equities accounts or selecting equity securities [and, thus, also likely violates Standard I(C) Misrepresentation]. While compliance with GIPS and its methods of composite construction and calculation are recommended, they are not required by the Standards.

For Further Reference:

(Study Session 19, Modules 58.5, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #12 of 180

Question ID: 1417957

Joseph Drake, CFA, an investment advisor at Best Wealth Managers, has identified a growth stock that he believes has the potential to provide excellent returns over the next five years. He includes this stock on a "recommended list" that he sends to all of his clients. Drake includes recent earnings, his estimates of future earnings, and a note that more information is available on request. Drake has:

A) not violated the Standards. ✔

B) violated the Standard on suitability. ✘

C) violated the Standard on client communications. ✘

Explanation

It is not a violation of the Standards to present a recommended list of securities, some of which may not be suitable for some clients. It is permitted to present investment recommendations in capsule form as long as clients are informed that more information about the securities is available on request.

For Further Reference:

(Study Session 19, Module 58.7, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #13 of 180

Question ID: 1417963

Brian Farley, CFA, is an investment manager with one client, a $75 million university endowment fund. A representative of the endowment fund calls Farley and places a "sell" order on a portfolio holding whose management has just reduced its earnings guidance for the coming year. Farley also owns the security and, because the new guidance is public information, places simultaneous "sell" orders for both the client account and his personal account. According to the Standards on fair dealing and priority of transactions, Farley is in violation of:

A) both of these Standards.

B) neither of these Standards.

C) only one of these Standards.

Explanation

Farley is in violation of Standard VI(B) Priority of Transactions. Client transactions must take precedence over members' or candidates' trades. He should have submitted his personal trade order only after trading for his client. Standard III(B) Fair Dealing requires that Farley deal fairly with all clients when recommending securities or taking investment action. Since the endowment fund is Farley's only account, he has not disadvantaged any other client.

For Further Reference:

(Study Session 19, Modules Module 58.8, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #14 of 180

Question ID: 1417955

Paul White, CFA, works as an analyst at an investment banking firm that also manages equity-only accounts for clients. White has agreed independently to manage a portfolio of fixed-income securities for an endowment fund for a small fee but has not informed his employer. Additionally, White's supervisor has asked him to work this weekend on a proposal for a large IPO that must be delivered on Monday morning, but White declines as he would prefer to spend the weekend with his family. Which of White's actions violate the Standard concerning loyalty?

A) Both of these actions.

B) Neither of these actions.

C) Only one of these actions.

Explanation

The Standards do not require that members put their employment ahead of their personal lives; these are issues between White and his employer. However, Standard IV(A) Loyalty states that a member who engages in independent practice must notify his employer.

For Further Reference:

(Study Session 19, Module 58.6, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #15 of 180

Question ID: 1417967

Which of the following is *least likely* one of the eight major topics of the Global Investment Performance Standards (GIPS) for firms?

A) Composite and Pooled Fund Maintenance. ✗

B) Fundamentals of Compliance. ✗

C) Conflicts with Local Laws and Regulations. ✓

Explanation

The eight major sections of the GIPS standards for firms are:

1. Fundamentals of Compliance
2. Input Data and Calculation Methodology
3. Composite and Pooled Fund Maintenance
4. Composite Time-Weighted Return Report
5. Composite Money-Weighted Return Report
6. Pooled Fund Time-Weighted Return Report
7. Pooled Fund Money-Weighted Return Report
8. GIPS Advertising Guidelines

For Further Reference:

(Study Session 19, Module 59.1, LOS 59.b)

CFA® Program Curriculum, Volume 6, page 492

Question #16 of 180

Question ID: 1417964

Gabe Klement, CFA, an analyst for HB Investments, is responsible for the valuation model for an IPO. Without his knowledge, others at HB adjusted the inputs to the model to increase the estimated value of the shares, and the offering is oversubscribed. Complying with local securities laws, Klement purchases shares of the IPO for his personal account and allocates the remaining shares to client accounts on a pro rata basis. With regard to the Standard on knowledge of the law, the analyst:

A) did not violate the Standard.

B) violated the Standard by purchasing the shares of the IPO but not by allowing the IPO valuation to be published.

C) violated the Standard by allowing the IPO valuation to be published and by purchasing the shares of the IPO.

Explanation

Standard I(A) Knowledge of the Law requires candidates and members comply with all applicable rules and regulations, including the CFA Institute Standards of Practice. Further, Standard I(A) requires that members and candidates must not knowingly participate in violations of applicable laws and Standards. Even though local law permits purchasing shares for personal accounts before purchasing IPO shares for client accounts, Standard VI(B) Priority of Transactions does not. The analyst knowingly violated the Code and Standards and, thus, violated Standard I(A). Since the analyst was unaware of the deceit in the valuation of the IPO stock [a violation of Standard I(D) Misconduct], his participation in publishing the IPO valuation did not constitute a violation. (Modules 58.1, 58.8)

For Further Reference:

(Study Session 19, Modules 58.1, 58.8, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #17 of 180

Question ID: 1417966

Green Investments utilizes the CFA Institute Standards of Professional Conduct as their standards for ethical practice. For purposes of compliance, which of the following is *least likely* a violation of Green Investments' policies?

A) One of Green Investments’ marketing brochures states that several of the firm’s portfolio managers passed all three levels of the CFA exam on their first attempts.

B) At a meeting with potential clients, Green's chief investment officer states that he is among a group of the most qualified investment professionals because he holds the CFA charter.

C) In interviewing a prospective employee, a portfolio manager at the firm says that the position could be financially rewarding because CFA charterholders are known to achieve superior performance results.

Explanation

The chief financial officer and the portfolio manager are in violation of Standard VII(B) Reference to CFA Institute, the CFA Designation, and the CFA Program because they have improperly referenced the CFA designation or exaggerated its meaning (e.g., "group of the most qualified"). The marketing brochure is only stating factual information regarding the portfolio managers' success at passing the CFA exams on their first attempts. (Module 58.9)

For Further Reference:

(Study Session 19, Module 58.9, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #18 of 180

Question ID: 1417958

Charmaine Townsend, CFA, has been managing equity portfolios for clients using a model that identifies growth companies selling at reasonable multiples. With economic growth slowing for the foreseeable future, she has decided to change to a securities selection model that emphasizes dividend income and low valuation. To comply with the Code and Standards, Townsend should *most appropriately*:

A) promptly notify her clients of the change.

B) get written permission from her clients prior to the change.

C) get written acknowledgment of the change from her clients within a reasonable period of time after the change is made.

Explanation

Standard V(B) Communication with Clients and Prospective Clients requires prompt disclosure of any change that might significantly affect the manager's investment processes. The disclosure need not be in writing. (Module 58.7)

For Further Reference:

(Study Session 19, Module 58.7, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #19 of 180

Question ID: 1417950

Wells Investments implements a new procedure for unsolicited trade requests that an advisor believes are inconsistent with the client's IPS:

- If the trade will have only a minimal impact on the client's portfolio, first advise the client in what way the trade deviates from the IPS, and then request the client's approval for the trade.
- If the trade will have a material impact on the risk and return characteristics of the client's portfolio, discuss with the client that this trade will require a change in the IPS.

Which of these statements is consistent with the standard concerning suitability?

A) Both of these statements. ✓

B) Neither of these statements. ✗

C) Only one of these statements. ✗

Explanation

If an unsolicited trade is inconsistent with a client's IPS, a member or candidate should not execute the trade before discussing it with the client. According to Standard III(C) Suitability, if the trade will have only a minimal impact on the client's portfolio, the member or candidate should attempt to educate the client with regard to how it deviates from the IPS and then may follow her firm's policies for obtaining client approval for the trade. If the trade will have a material impact on the risk and return characteristics of the client's portfolio, the discussion should focus on changing the IPS. (Module 58.5)

For Further Reference:

(Study Session 19, Module 58.5, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #20 of 180

Question ID: 1417946

With respect to the Standard on material nonpublic information, materiality is *least likely* to be affected by:

A) the source of the information. ✗

B) liquidity of the subject security. ✓

C) ambiguity about the price effect of the information.

Explanation

According to Standard II(A) Material Nonpublic Information, how specific the information is, how different it is from public information, and its nature are key factors in determining whether a particular piece of information fits the definition of material. An additional factor is reliability, which is often a function of the source of the information. While the liquidity of a security may be a factor in determining the materiality of advance knowledge of a large buy or sell order, in most cases, it would not be a factor in determining materiality. (Module 58.3)

For Further Reference:

(Study Session 19, Module 58.3, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #21 of 180

Question ID: 1417959

Alberto Cosini is the top-rated, sell-side analyst in the biotechnology industry. His recommendations significantly affect prices of industry stocks regularly. Yesterday Cosini changed his rating on Biopharm from "hold" to "buy," and Cosini's firm emailed the change to its clients although no public disclosure has yet been made. If Peter Allen, CFA, who heard about Cosini's rating change for Biopharm from his brother, purchases Biopharm in his personal account, Allen will *most likely*:

A) not violate the Standards.

B) violate the Standard concerning diligence and reasonable basis.

C) violate the Standard concerning material nonpublic information.

Explanation

There is no requirement that a firm publicly release ratings changes by its analysts. Individuals outside the firm acting on this information after it is released to clients are not in violation of the Standard concerning nonpublic information. Purchases in a member's personal account are not subject to the requirements of the Standard concerning diligence and reasonable basis, so there is no violation indicated here. (Modules 58.7, 3.7)

For Further Reference:

(Study Session 19, Modules 58.7, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #22 of 180

Question ID: 1417943

Judy Dudley, CFA, is an analyst and plans to visit a company that she is analyzing in order to prepare a research report. The Standard related to independence and objectivity:

A) requires Dudley to pay for her own transportation costs and not to accept any gifts or compensation for writing the report, but allows her to accept accommodations and meals that are not lavish.

B) requires Dudley not to accept any compensation for writing a research report, but allows her to accept company paid transportation, lodging, and meals.

C) allows Dudley to accept transportation, lodging, expenses, and compensation for writing a research report, but requires that she disclose such an arrangement in her report.

Explanation

Standard I(B) Independence and Objectivity allows investor-paid research but requires that members and candidates limit the type of compensation they accept for writing a research report so that it is not dependent on the conclusions of the research report. Best practice is for analysts to only accept a flat fee for such company-paid research reports. Such research should also include complete disclosure of the nature of the compensation received for writing such a report so that investors will not be misled as to the relationship between the analyst and the company. Paying for one's own transportation and lodging when the analyst is not employed by the subject firm is a recommended procedure for complying with Standard I(B), but it is not a requirement. (Module 58.1)

For Further Reference:

(Study Session 19, Module 58.1, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #23 of 180

Question ID: 1417960

Campbell Hill, CFA, has recently accepted the position of Chief Compliance Officer at an investment management firm. Hill distributes a memo stating that effective immediately (1) material supporting all company research reports will be kept in the company database in electronic form for 10 years, and hard copies of the same material will be maintained for one year only, and (2) hard copy records of all trade confirmations sent to clients must be kept on file for five years, the period mandated by local regulations. With respect to record retention:

A) neither of Hill's policies violates the Standards.

B) Hill's policies regarding both research reports and trade confirmations violate the Standards.

C) Hill's policy regarding research reports does not violate the Standards, but the policy regarding trade confirmations does.

Explanation

In the absence of regulatory requirements, Standard V(C) Record Retention recommends maintaining records supporting investment recommendations and actions and records of investment-related communications with clients for at least seven years. Here, there is regulatory guidance, and seven years is a recommendation, not a requirement, in any case. Records can be maintained in electronic or hard copy format. (Module 58.7)

For Further Reference:

(Study Session 19, Module 58.7, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #24 of 180

Question ID: 1417948

Dawn Shepard, CFA, is a broker for a regional brokerage firm. Her company's research department recently changed its recommendation on the common stock of Orlando (ORL) from "buy" to "sell" and sent the change to all firm clients who own ORL. The next day, a client places a "buy" order for ORL. According to the Standards, under these circumstances, Shepard:

A) must advise the customer of the change in recommendation before accepting the order.

B) has complied with the fair dealing Standard and may accept the order because it is unsolicited.

C) may accept the order only if the customer acknowledges in writing that she was notified of the change in the recommendation.

Explanation

Under Standard III(B) Fair Dealing, clients placing orders contrary to the firm's changed recommendation should be advised of the change in recommendation before the firm accepts the orders.

For Further Reference:

(Study Session 19, Module 58.4, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #25 of 180

Question ID: 1417965

Paul James, CFA, a retail stock broker, notices that one client in particular, Chet Young, Ph.D., is especially adept at picking stocks. James decides to replicate Young's trades in his own account after he enters them. By doing so, James:

A) is not in violation of any Standards. ✓

B) is in violation of the Standard on priority of transactions because he is front running the client’s account. ✗

C) is in violation of the Standard on misconduct because he has misappropriated confidential client information. ✗

Explanation

James is not in violation of the Standards. To comply with Standard VI(B) Priority of Transactions, members and candidates must give transactions for clients and employers priority over their personal transactions. In this instance, James did not adversely affect the client's interest because the client's trades were executed before James copied them. He has not acted fraudulently or deceitfully and, thus, has not violated Standard I(D) Misconduct. (Modules 58.2, 58.8)

For Further Reference:

(Study Session 19, Modules 58.2, 58.8, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #26 of 180

Question ID: 1417969

Nicholas Hart, CFA, is a portfolio manager for individuals. Last year, Hart's wife was hospitalized for several months. Despite his best efforts to pay her bills, Hart was forced to declare personal bankruptcy but did not disclose this to his clients. According to the CFA Institute Standards of Professional Conduct, Hart:

A) is not in violation of any Standard.

B) is in violation of the Standard on communication with clients for not disclosing his bankruptcy to his clients.

C) is in violation of the Standard on misconduct for personal conduct that reflects adversely on his professional reputation.

Explanation

The circumstances of Hart's bankruptcy do not compromise his professional reputation. The bankruptcy did not involve fraudulent or deceitful business conduct; therefore, there is no violation of Standard I(D) Misconduct. The Standards do not require disclosing the bankruptcy to clients because it does not create any conflict of interest and is not relevant to Hart's professional activity. (Module 60.1)

For Further Reference:

(Study Session 19, Module 60.1, LOS 57.b, 57.c, LOS 58.a, 58.b, 58.c, 60.b))

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Question #27 of 180

Question ID: 1417970

Marie Marshall, CFA, charges clients a management fee and commissions on securities transactions. Marshall receives an annual bonus based on the overall success of the firm and a quarterly bonus based on the trading volume in her clients' accounts. If Marshall does not tell clients about her compensation package, she is violating the Standard concerning:

A) disclosure of conflicts.

B) communication with clients.

C) additional compensation arrangements.

Explanation

Marshall has an obligation to disclose that she receives special compensation based on the amount of client trading volume. Standard VI(A) Disclosure of Conflicts requires members to disclose to clients and prospects all matters that could potentially impair the member's ability to make investment decisions that are (and to give investment advice that is) objective and unbiased. The Standard on communications with clients addresses issues that involve clearly communicating investment recommendations and analysis. The Standard on additional compensation arrangements is concerned with accepting benefits that may create a conflict between a member's interests and her employer's interests. (Module 60.1)

For Further Reference:

(Study Session 19, Module 60.1, LOS 57.b, 57.c, LOS 58.a, 58.b, 58.c, 60.b)

CFA® Program Curriculum, Volume 6, page 499

Question #28 of 180

Question ID: 1417968

Lunar Wealth, a subsidiary of Galaxy Financial, has prepared GIPS- compliant performance data and asks Galaxy's president about his interest in presenting GIPS-compliant performance data, but he does not believe it is a priority. Lunar may:

A) claim partial compliance with GIPS if Lunar’s performance presentations are in compliance. ✗

B) not claim compliance with GIPS because compliance must be made on a company-wide basis. ✗

C) claim compliance with GIPS as long as Lunar is presented to the public as a distinct business entity. ✓

Explanation

Lunar may claim compliance as long as it has met the reporting requirements necessary and is held out to clients (advertised) as a distinct business entity. Lunar may only claim compliance with GIPS if it complies fully and on a firmwide basis..

For Further Reference:

(Study Session 19, Module 59.1, LOS 59.d)

CFA® Program Curriculum, Volume 6, page 494

Question #29 of 180

Question ID: 1417971

Fred Reilly, CFA, is an investment advisor. Roger Harrison, a long-term client of Reilly, decides to move his accounts to a new firm. In his review of Harrison's account history, Reilly discovers some transfers of funds from the account of Harrison's company that Reilly suspects were illegal. Which of the following actions is *most appropriate* for Reilly to take under the Standards?

A) Discuss his suspicions with outside counsel.

B) Inform Harrison’s company of the suspected illegal activities because Harrison is no longer a client.

C) Do nothing because he must maintain the confidentiality of client information even after the client has left the firm.

Explanation

Of the choices given, seeking the advice of outside counsel about what actions Reilly may be required to take is the most appropriate. Under Standard III(E) Preservation of Confidentiality, members and candidates should maintain the confidentiality of information received in the course of their professional service relating to both current and former clients. In the case of illegal activity, however, Reilly may have a legal obligation to report the activity or, on the other hand, may have a legal obligation to maintain the client's confidentiality even if he suspects illegal activity. (Module 60.1)

For Further Reference:

(Study Session 19, Module 60.1, LOS 57.b, 57.c, LOS 58.a, 58.b, 58.c)60.b)

CFA® Program Curriculum, Volume 6, page 499

Question #30 of 180

Question ID: 1417972

Ronald Rice, CFA, is the investment manager for a trust established for Selma Ross's mother. Ross selected Rice after interviewing several potential managers. From time to time, Ross calls Rice and asks him to purchase or sell shares in specific firms. Rice routinely complies with these requests without determining suitability for the trust. By doing so, Rice has *most likely*:

A) violated the Standard concerning loyalty, prudence, and care.

B) violated the Standard concerning independence and objectivity.

C) not violated the Code and Standards because he has followed the client’s request.

Explanation

In the case of trusts or endowments, the member must be aware that his fiduciary responsibility is not necessarily to the client (who hired him) but to the beneficiaries of the investment account. By routinely executing trades directed by Ross without making a determination that the securities transactions are consistent with the investment goals and constraints of Ross's mother, the account beneficiary, Ross has violated Standard III(A) Loyalty, Prudence, and Care. Ross has likely also violated other Standards (e.g., Standard III(C) Suitability and Standard V(A) Diligence and Reasonable Basis). Standard I(B) Independence and Objectivity deals primarily with conflicts resulting from gifts, compensation, or benefits that may compromise the member's independence and objectivity. (Module 60.1)

For Further Reference:

(Study Session 19, Module 60.1, LOS 57.b, 57.c, LOS 58.a, 58.b, 58.c60.a,60.b,)

CFA® Program Curriculum, Volume 6, page 499

Question #31 of 180

Question ID: 1417828

Depreciation of a country's currency will be more effective in reducing its trade deficit if its:

A) imports do not have good substitutes. ✗

B) exports are primarily luxury goods. ✓

C) exports represent a small portion of foreign consumer expenditures. ✗

Explanation

Under the elasticities approach, a currency depreciation will lead to a greater reduction in a trade deficit when export demand and/or import demand are more elastic. The demand for luxury goods is relatively elastic, while the demand for goods without good substitutes or for goods that represent only a small portion of consumer expenditures is relatively inelastic.

For Further Reference:

(Study Session 4, Module 14.3, LOS 14.j)

CFA® Program Curriculum, Volume 2, page 451

Question #32 of 180

Question ID: 1417841

Normal Corp. has a current ratio above 1 and a quick ratio less than 1. Which of the following actions will increase the current ratio and decrease the quick ratio? Normal Corp.:

A) buys fixed assets on credit.

B) uses cash to purchase inventory.

C) pays off accounts payable from cash.

Explanation

Paying off accounts payable from cash lowers current assets and current liabilities by the same amount. Because the current ratio started off above 1, the current ratio will increase. Because the quick ratio started off less than 1, it will decrease further. The other choices are incorrect. Buying fixed assets on credit decreases both ratios because the denominator increases, with no change to the numerator. Using cash to purchase inventory would result in no change in the current ratio but would decrease the quick ratio by decreasing the numerator.

For Further Reference:

(Study Session 6, Module 20.2, LOS 20.b)

CFA® Program Curriculum, Volume 3, page 197

Question #33 of 180

Question ID: 1417797

An analyst constructs a histogram and frequency polygon of monthly returns for aggressive equity funds over a 20-year period. Which of the following statements about these displays is *most accurate*?

A) The height of each bar in a frequency polygon represents the absolute frequency for each return interval.

B) Both a histogram and a frequency polygon provide a graphical display of data found in a frequency distribution.

C) To construct a histogram, the analyst would plot the midpoint of the return intervals on the x-axis and the absolute frequency for that interval on the y-axis, connecting neighboring points with a straight line.

Explanation

Theheight of each bar in a *histogram* represents the absolute frequency for each return interval. To construct a *frequency polygon*, the analyst would plot the midpoint of the return intervals on the x-axis and the absolute frequency for that interval on the y-axis.

For Further Reference:

(Study Session 1, Module 2.1, LOS 2.e)

CFA® Program Curriculum, Volume 1, page 86

Question #34 of 180

Question ID: 1417832

A firm has undertaken a contract with an estimated total cost of $200 million at a price of $220 million. At the end of the first reporting period, the firm has devoted resources of $70 million to the project. The customer has been billed for $80 million and made payments of $60 million. As a result of these transactions, the firm should report revenue from this project of:

A) $60 million.

B) $70 million.

C) $77 million.

Explanation

Using the percentage of total costs incurred to date as an estimate of the portion of the performance obligations completed, revenue should be (70/200) × $220 million = $77 million.

For Further Reference:

(Study Session 6, Module 17.2, LOS 17.c)

CFA® Program Curriculum, Volume 3, page 12

Question #35 of 180

Question ID: 1417845

A low inventory turnover ratio in a period of declining revenue growth is *most likely* an indication that a firm may have:

A) obsolete inventory.

B) too little inventory.

C) efficient inventory management.

Explanation

Low inventory turnover and declining revenue growth may be signs that a firm has obsolete or slow-moving inventory. High turnover and low revenue growth may indicate too little inventory, while high turnover and high revenue growth may indicate efficient inventory management.

For Further Reference:

(Study Session 7, Module 21.5, LOS 21.l)

CFA® Program Curriculum, Volume 3, page 284

Question #36 of 180

Question ID: 1417820

According to the crowding-out effect, the sale of government bonds used to finance excess government spending is *least likely* to:

A) increase the real interest rate.

B) reduce private investment spending.

C) increase the profitability of corporate investment projects.

Explanation

Increased government borrowing would decrease, not increase, the profitability of corporate investment projects since it will tend to increase interest rates and required rates of return in general.

For Further Reference:

(Study Session 4, Module 12.3, LOS 12.q)

CFA® Program Curriculum, Volume 2, page 316

Question #37 of 180

Question ID: 1417810

An analyst has data on institutional salespeople at an investment banking firm showing how they ranked in total monthly commissions, from first to eighth. To determine whether a high rank in one month indicates a high probability of achieving a high rank in subsequent months, the analyst should use a:

A) *t*-test.

B) nonparametric test.

C) mean differences test.

Explanation

A Spearman rank correlation test is appropriate in this scenario. This is a nonparametric test.

For Further Reference:

Study Session 2, Modules 6.4, LOS 6.l

CFA® Program Curriculum, Volume 1, page 398

Question #38 of 180

Question ID: 1417848

Selected items from the financial statements of three plumbing fixture manufacturers appear in the following table. All three firms use straight-line depreciation for financial reporting.

	Robbco	Sammco	Teddco
PP&E at historical cost	$10,000,000	$12,000,000	$18,000,000
Accumulated depreciation	6,000,000	8,000,000	9,000,000
Net PP&E	4,000,000	4,000,000	9,000,000
Depreciation expense (latest period)	800,000	1,000,000	1,500,000

Based only on these data, which firm is *most likely* to require significant capital expenditures sooner than the others?

A) Robbco.

B) Sammco.

C) Teddco.

Explanation

Sammco has PP&E with the highest average age and lowest remaining useful life, and therefore appears more likely to need new equipment in the near future than the other firms.

<u>Average age</u>

Robbco: $6,000,000 / $800,000 = 7.5 years

Sammco: $8,000,000 / $1,000,000 = 8.0 years

Teddco: $9,000,000 / $1,500,000 = 6.0 years

<u>Remaining useful life</u>

Robbco: $4,000,000 / $800,000 = 5 years

Sammco: $4,000,000 / $1,000,000 = 4 years

Teddco: $9,000,000 / $1,500,000 = 6 years

For Further Reference:

(Study Session 7, Module 22.4, LOS 22.m)

CFA® Program Curriculum, Volume 3, page 370

Question #39 of 180

Question ID: 1417851

For an operating lease, the value of the right-to-use asset and the lease liability on the lessee's balance sheet will be equal in each reporting period over the term of the lease under:

A) IFRS, but not U.S. GAAP. ✗

B) U.S. GAAP, but not IFRS. ✓

C) both IFRS and U.S. GAAP. ✗

Explanation

For operating leases under U.S. GAAP, the principal reduction in the lease liability and the amortization of the right-to-use asset are equal each period so that the values of the lease liability and right-to-use asset will be equal over the term of the lease. This is not the case under IFRS.

For Further Reference:

(Study Session 7, Module 24.4, LOS 24.g)

CFA® Program Curriculum, Volume 3, page 459

Question #40 of 180

Question ID: 1417849

On January 2, a company acquires some state-of-the-art production equipment at a net cost of $14 million. For financial reporting purposes, the firm will depreciate the equipment over a 7-year life using straight-line depreciation and a zero salvage value; for tax reporting purposes, however, the firm will use straight-line depreciation over a 3-year life. Given a tax rate of 35%, by how much will the company's deferred tax liability increase in the first year of the equipment's life?

A) $933,500.

B) $1,064,800.

C) $1,730,300.

Explanation

Straight-line depreciation: $14 million / 7 = $2.0 million

Accelerated depreciation: $14 million / 3 = $4.667 million

Difference in depreciation:	$4.667 million − $2.0 million =	$2.667 million
	× Tax rate	0.35
	Increase in deferred tax liability	$933,500

For Further Reference:

(Study Session 7, Module 23.3, LOS 23.d)

CFA® Program Curriculum, Volume 3, page 399

Question #41 of 180

Question ID: 1417817

Based on her forecast for the economy, a portfolio manager increases her investments in high-quality bonds and decreases her investments in commodities. The portfolio manager *most likely* expects the economy to experience:

A) stagflation.

B) a recessionary gap.

C) an inflationary gap.

Explanation

The manager's investment decisions are most consistent with expectations of a recessionary gap. In a recession, commodity prices and interest rates are likely to decrease. Decreasing interest rates should increase the prices of high-quality bonds. An inflationary gap would likely cause interest rates to increase, which would decrease bond prices. An inflationary gap or stagflation conditions would likely result in increasing commodity prices.

For Further Reference:

(Study Session 3, Module 10.3, LOS 10.i)

CFA® Program Curriculum, Volume 2, page 147

Question #42 of 180

Question ID: 1417795

If an investment of $4,000 will grow to $6,520 in four years with monthly compounding, the effective annual interest rate will be *closest* to:

A) 11.2%.

B) 12.3%.

C) 13.0%.

Explanation

N = 4; PMT = 0; PV = –4,000; FV = 6,520; CPT → I/Y = 12.99%,

or $\left(\frac{6{,}520}{4{,}000}\right)^{1/4} - 1 = 12.99\%$

The question asks for the *effective* annual rate and gives the beginning and ending values. That the ending value was arrived at by monthly compounding is not relevant.

For Further Reference:

(Study Session 1, Module 1.1, LOS 1.c)

CFA® Program Curriculum, Volume 1, page 15

Question #43 of 180

Question ID: 1417807

Which of the following statements about the central limit theorem is *least accurate*?

A) The central limit theorem has limited usefulness for skewed distributions.

B) The mean of the population and the mean of all possible sample means are equal.

C) When the sample size is large, the sampling distribution of the sample means is approximately normal.

Explanation

The central limit theorem holds for any distribution as long as the sample size is large (i.e., n > 30).

For Further Reference:

(Study Session 2, Module 5.1, LOS 5.d)

CFA® Program Curriculum, Volume 1, page 316

Question #44 of 180

Question ID: 1417854

When comparing two firms, an analyst should *most* appropriately adjust the financial statements when they include significant:

A) acquisition goodwill, if one of the firms reports under IFRS and the other under U.S. GAAP.

B) property, plant, and equipment, if one of the firms uses accelerated depreciation and the other uses straight-line depreciation.

C) unrealized losses from securities held for trading, if one of the firms uses fair value reporting for securities investments and the other does not.

Explanation

Depreciation methods are an example of a difference that may require an analyst to adjust financial statements to make them comparable. Acquisition goodwill is treated the same way under IFRS and U.S. GAAP: it is not amortized but is tested for impairment at least annually. Securities held for trading are reported at fair value with unrealized gains and losses reported on the income statement.

For Further Reference:

(Study Session 8, Module 26.2, LOS 26.e)

CFA® Program Curriculum, Volume 3, page 581

Question #45 of 180

Question ID: 1417818

An analyst who is interested in the core inflation rate should *most appropriately* examine a price index:

A) for wholesale goods.

B) that uses hedonic pricing.

C) that excludes food and energy.

Explanation

Core inflation refers to prices excluding food and energy, which tend to exhibit higher price volatility than most other goods and services. Hedonic pricing refers to adjusting a price index for improvements in the quality of goods.

For Further Reference:

(Study Session 3, Module 11.2, LOS 11.i)

CFA® Program Curriculum, Volume 2, page 243

Question #46 of 180

Question ID: 1417835

A U.S. GAAP reporting company holds a number of marketable securities as investments. For the most recent period, the company reports that the market value of its securities held for trading decreased by $2 million and the market value of its securities available for sale increased in value by $3 million. Together, these changes in value will:

A) reduce net income and shareholders' equity by $2 million.

B) increase shareholders' equity by $1 million and have no effect on net income.

C) reduce net income by $2 million and increase shareholders' equity by $1 million.

Explanation

Unrealized gains and losses on securities held for trading are included in net income. Unrealized gains and losses on securities available for sale are not reported in net income but are included in comprehensive income. Net income will show a $2 million loss from the securities held for trading. Shareholders' equity will reflect this loss as well as the $3 million unrealized gain from securities available for sale, for a net increase of $1 million.

For Further Reference:

(Study Session 6, Module 17.5, LOS 17.l)

CFA® Program Curriculum, Volume 3, page 49

Question #47 of 180

Question ID: 1417839

Maritza, Inc., is involved in an exchange of debt for equity. In which of the following sections of the cash flow statement would Maritza record this transaction?

A) Investing activities section.

B) Financing activities section.

C) Footnotes to the cash flow statement.

Explanation

This transaction results in a reduction of debt and an increase in equity. However, since no cash is involved, it is not reported as a financing activity in the cash flow statement, but will be disclosed in the notes to the cash flow statement.

For Further Reference:

(Study Session 6, Module 19.1, LOS 19.b)

CFA® Program Curriculum, Volume 3, page 121

Question #48 of 180

Question ID: 1417806

Which of the following distributions is *most likely* symmetric if its degrees of freedom are less than five?

A) F-distribution.

B) Chi-square distribution.

C) Student's *t*-distribution.

Explanation

Student's *t*-distribution is symmetric regardless of its degrees of freedom. The chi-square and F-distributions are asymmetric but approach the shape of a normal distribution as their degrees of freedom become large.

For Further Reference:

(Study Session 2, Module 4.3, LOS 4.n)

(Study Session 2, Module 4.3, LOS 4.o)

CFA® Program Curriculum, Volume 1, page 275

CFA® Program Curriculum, Volume 1, page 277

Question #49 of 180

Question ID: 1417809

Which of the following statements about hypothesis testing involving a *z*-statistic is *least accurate*?

A) The *p*-value is the smallest significance level at which the null hypothesis can be rejected.

B) A *z*-test is theoretically acceptable in place of a *t*-test for tests concerning a mean when sample size is small.

C) If the confidence level is set at 95%, the probability of rejecting the null hypothesis when in fact it is true is 5%.

Explanation

The *t*-test must be used when the sample size is small, the population is normal, and the population variance is unknown. If the population is non-normal and the variance is unknown, there is no valid test statistic when the sample is small.

For Further Reference:

(Study Session 2, Module 6.1, LOS 6.c)(Study Session 2, Module 6.2, LOS 6.e)(Study Session 2, Module 6.2, LOS 6.g)

CFA® Program Curriculum, Volume 1, page 363

CFA® Program Curriculum, Volume 1, page 371

CFA® Program Curriculum, Volume 1, page 377

Question #50 of 180

Question ID: 1417824

Which of the following statements on the economic implications of trade restrictions is *most accurate*?

A) Quota rents are the amounts received by the domestic government when it charges for import licenses.

B) In the importing country, import quotas, tariffs, and voluntary export restraints all decrease producer surplus.

C) In the case of a quota, if the domestic government collects the full value of the import licenses, the result is the same as that of a tariff.

Explanation

If the domestic government collects the full value of the import license, a quota can have the same economic result as a tariff. Quota rents are the gains to those foreign exporters who receive import licenses under a quota if the domestic government does not charge for the import licenses. With respect to the importing country, import quotas, tariffs, and voluntary export restraints all decrease consumer surplus and increase producer surplus.

For Further Reference:

(Study Session 4, Module 13.2, LOS 13.e)

CFA® Program Curriculum, Volume 2, page 362

Question #51 of 180

Question ID: 1417844

Rowlin Corporation, which reports under IFRS, wrote down its inventory of electronic parts last period from its original cost of €28,000 to net realizable value of €25,000. This period, inventory at net realizable value has increased to €30,000. Rowlin should revalue this inventory to:

A) €28,000, and report a gain of €3,000 on the income statement. ✓

B) €30,000, and report a gain of €3,000 on the income statement. ✗

C) €30,000, and report a gain of €5,000 on the income statement. ✗

Explanation

Under IFRS, inventory values are revalued upward only to the extent they were previously written down. In this case, that is from €25,000 back up to the original value of €28,000. The increase is reported as gain for the period.

For Further Reference:

(Study Session 7, Module 21.4, LOS 21.g)

CFA® Program Curriculum, Volume 3, page 275

Question #52 of 180

Question ID: 1417812

Demand for gasoline (in hundreds of liters) at a particular station, as a function of the price of gasoline and the price of bus travel, is $Q_D = 300 - 14\ P_{gas} + 2\ P_{bus}$. If the price of gasoline per liter (P_{gas}) is 1.50 euros, and the price of a standardized unit of bus travel (P_{bus}) is 12 euros, the cross price elasticity of gasoline demand with respect to the price of bus travel is *closest* to:

A) 0.01.

B) 0.08.

C) 2.00.

Explanation

To calculate the cross price elasticity of the quantity demanded of gasoline with respect to the price of bus travel, we must first calculate the quantity of gas demanded:

$$300 - 14(1.5) + 2(12) = 303$$

The cross elasticity is:

$$\frac{\Delta Q_D}{\Delta P_{bus}} \times \frac{P_{bus}}{Q_D} = 2 \times \left(\frac{12}{303}\right) = 0.0792 \text{ or } 0.08$$

For Further Reference:

(Study Session 3, Module 8.1, LOS 8.a)

CFA® Program Curriculum, Volume 2, page 6

Question #53 of 180

Question ID: 1417803

An investment has a mean return of 15% and a standard deviation of returns equal to 10%. If the distribution of returns is approximately normal, which of the following statements is *least accurate*? The probability of obtaining a return:

A) less than 5% is about 16%.

B) greater than 35% is about 2.5%.

C) between 5% and 25% is about 95%.

Explanation

About 68% of all observations fall within ±1 standard deviation of the mean. Thus, about 68% of the values fall between 5 and 25.

For Further Reference:

(Study Session 2, Module 4.2, LOS 4.h)

CFA® Program Curriculum, Volume 1, page 261

Question #54 of 180

Question ID: 1417813

A market has the following characteristics: a large number of independent sellers, each producing a differentiated product; low barriers to entry; producers facing downward sloping demand curves; and demand that is highly elastic. This description *most* closely describes:

A) an oligopoly.

B) pure competition.

C) monopolistic competition.

Explanation

These conditions characterize *monopolistic competition*. By contrast, monopolies and oligopolies have high barriers to entry and involve either a single seller (monopoly) or a small number of interdependent sellers (oligopoly). Similar to monopolistic competition, pure competition involves a large number of independent sellers. With pure competition, products are homogeneous (not differentiated), no barriers to entry exist (not low barriers to entry), and the demand schedule is horizontal (not downward sloping) and perfectly elastic (not highly elastic).

For Further Reference:

(Study Session 3, Module 9.4, LOS 9.h)

CFA® Program Curriculum, Volume 2, page 107

Question #55 of 180

Question ID: 1417836

Listed debt securities owned by a company, for which the company intends to collect interest payments and sell the securities, must be carried at fair value with gains and losses reported as other comprehensive income under:

A) IFRS only.

B) U.S. GAAP only.

C) both U.S. GAAP and IFRS.

Explanation

Under IFRS, firms may make an irrevocable choice to carry any financial asset at fair value through profit and loss. Under U.S. GAAP, such debt securities are classified as "available for sale," and carried at fair value with gains and losses reported as other comprehensive income.

For Further Reference:

(Study Session 6, Module 18.3, LOS 18.e)

CFA® Program Curriculum, Volume 3, page 69

Question #56 of 180

Question ID: 1417830

Which of the following statements regarding an audit and a standard auditor's opinion is *most accurate*?

A) The objective of an audit is to enable the auditor to provide an opinion on the numerical accuracy of the financial statements.

B) To provide an independent review of a company's financial statements, an external auditor is appointed by the company's management.

C) The absence of an explanatory paragraph in the audit report relating to the going concern assumption suggests that there are no serious problems that require a close examination of that assumption by the analyst.

Explanation

A specific explanatory paragraph that makes reference to (questions) the going concern assumption may be a signal of serious problems and call for close examination by the analyst. Therefore, in the absence of such a paragraph, there is no need for a close examination of the going concern assumption by the analyst. The objective of an audit is to enable the auditor to provide an opinion on the fairness and reliability of the financial statements. This is not the same as numerical accuracy. The auditor generally only provides reasonable assurance that there are no material errors in the financial statements, not an opinion about their numerical accuracy. An external auditor is appointed by the audit committee of the company's board of directors, not by its management. and

For Further Reference:

(Study Session 5, Module 15.2, LOS 15.d)

(Study Session 9, Module 27.1, LOS 27.f)

CFA® Program Curriculum, Volume 2, page 499

CFA® Program Curriculum, Volume 3, page 615

Question #57 of 180

Question ID: 1417846

Two growing firms are identical except that Alfred Company capitalizes costs for some long-lived assets that Canute Company expenses. Alfred is *most likely* to show higher:

A) net income than Canute. ✓

B) working capital than Canute. ✗

C) investing cash flow than Canute. ✗

Explanation

For growing firms, capitalizing results in higher net income compared to expensing. A capitalizing company classifies the costs of the capitalized assets as CFI outflows, while a company that expenses these costs classifies them as CFO outflows. Thus, Alfred's CFO will be higher and his CFI will be lower than Canute's. Working capital is unaffected by the decision to capitalize or expense because the decision does not affect current assets or current liabilities.

For Further Reference:

(Study Session 7, Module 22.1, LOS 22.c)

CFA® Program Curriculum, Volume 3, page 330

Question #58 of 180

Question ID: 1417802

The probability that a fund manager will produce returns in excess of the returns on the S&P 500 index in any one year is 45%. The probability that the manager will produce returns in excess of the returns on the S&P 500 index in 4 or 5 of the next five years is *closest to*:

A) 11.3%.

B) 13.1%.

C) 16.3%.

Explanation

We need to use the binomial formula to calculate the probabilities of 4 and 5 "successes" in five 5 years and then sum them.

$$\text{Prob}\,(4) = \frac{5!}{(5-4)!4!} \times 0.45^4 \times 0.55^{5-4} = 11.3\%$$

Prob(5) = 0.45^5 = 1.85%

11.28% + 1.85% = 13.12%

For Further Reference:

(Study Session 2, Module 4.1, LOS 4.e)

CFA® Program Curriculum, Volume 1, page 250

Question #59 of 180

Question ID: 1417826

One year ago, the currency of Xyland (XYZ) was at a three-month forward premium to the currency of Piqua (PQR). Today, the XYZ is at a three-month forward discount to the PQR. Assuming the interest rate forward parity relationship holds, this change implies that:

A) the XYZ has depreciated relative to the PQR.

B) today the XYZ three-month interest rate is higher than the PQR three-month interest rate.

C) one year ago the XYZ three-month interest rate was higher than the PQR three-month interest rate.

Explanation

Interest rate parity requires that the currency with the higher interest rate will sell at a discount in the forward market.

For Further Reference:

(Study Session 4, Module 14.2, LOS 14.g)

CFA® Program Curriculum, Volume 2, page 432

Question #60 of 180

Question ID: 1417819

Open market sales of securities by a country's central bank will *most likely* result in:

A) decreasing short-term interest rates.

B) appreciation of the domestic currency.

C) an increasing growth rate of real GDP.

Explanation

Central bank sales of securities reduce excess reserves in the banking system, causing interbank lending rates and other short-term interest rates to increase. If the monetary policy transmission mechanism operates normally, long-term interest rates should also increase, the domestic currency should appreciate, and economic growth and inflation should decrease.

For Further Reference:

(Study Session 4, Module 12.2, LOS 12.k)

CFA® Program Curriculum, Volume 2, page 291

Question #61 of 180

Question ID: 1417838

Time-series analysis of a firm's common-size balance sheets reveals the following data:

	20X3	20X4	20X5
Current assets	20%	22%	25%
Inventory	8%	9%	11%
Short-term debt	10%	11%	12%
Long-term debt	24%	21%	18%

Based only on the data provided, an analyst can conclude that the firm's:

A) debt ratio is decreasing.

B) quick ratio is decreasing.

C) inventory/sales ratio is increasing.

Explanation

The debt ratio is total debt to total assets. Because common-size balance sheet data are stated as percentages of total assets, the debt ratio can be determined from the data given.

20X3: 10% + 24% = 34%

20X4: 11% + 21% = 32%

20X5: 12% + 18% = 30%

The debt ratio is decreasing over the period shown. Neither the inventory/sales ratio nor the quick ratio can be determined from the data given because the data do not include sales or current liabilities.

For Further Reference:

(Study Session 6, Module 18.7, LOS 18.h)

CFA® Program Curriculum, Volume 3, page 106

Question #62 of 180

Question ID: 1417840

Which of the following statements about the analysis of cash flows is *least accurate*?

A) Interest payments on debt are not a financing cash flow under U.S. GAAP.

B) Both the direct and indirect methods involve adding back noncash items such as depreciation and amortization.

C) When using the indirect method, an analyst should add any losses on the sales of fixed assets to net income.

Explanation

When using the direct method of calculating operating cash flows, depreciation and amortization are not "added back" (to net income) because we don't begin with net income under the direct method. Depreciation and amortization are noncash changes and are not used under the direct method. The other statements are true. Interest payments on debt affect cash flow from operations. When using the indirect method, an analyst should add any losses on sales of fixed assets to net income since they are not operating cash flows.

For Further Reference:

(Study Session 6, Module 19.2, LOS 19.f)

CFA® Program Curriculum, Volume 3, page 137

Question #63 of 180

Question ID: 1417796

An investor wants to receive $10,000 annually for ten years with the first payment five years from today. If the investor can earn a 14% annual return, the amount that she will have to invest today is *closest* to:

A) $27,091.

B) $30,884.

C) $52,161.

Explanation

This problem involves determining the present value of an annuity followed by finding the present value of a lump sum. Enter PMT = 10,000, N = 10, and I = 14. Compute PV = 52,161.16. That is the present value of the 10-year annuity, four years from today. Next, we need to discount that back to present for four years to find the amount of the investment today. Enter FV = −52,161.16, N = 4, I = 14, PMT = 0. Compute PV = 30,883.59.

For Further Reference:

(Study Session 1, Module 1.3, LOS 1.e)

CFA® Program Curriculum, Volume 1, page 17

Question #64 of 180

Question ID: 1417814

An advantage of the Herfindahl-Hirschman Index (HHI) over the N-firm concentration ratio as a summary measure of the market structure of an industry is that the HHI is more sensitive to:

A) mergers. ✓

B) barriers to entry. ✗

C) elasticity of demand. ✗

Explanation

The HHI is more sensitive to the effects of mergers compared to the N-firm concentration ratio. Neither measure accounts for elasticity of demand or barriers to entry.

For Further Reference:

(Study Session 3, Module 9.4, LOS 9.g)

CFA® Program Curriculum, Volume 2, page 107

Question #65 of 180

Question ID: 1417821

Reasons why the unemployment rate is a lagging indicator of the business cycle *least likely* include:

A) discouraged workers who begin seeking work. ✗

B) action lag in the implementation of unemployment insurance. ✓

C) high costs to employers of frequently hiring or firing employees. ✗

Explanation

Unemployment insurance is an example of an automatic stabilizer that is not subject to the action lag of discretionary fiscal policy tools. One reason why the unemployment rate is a lagging indicator is the fact that employers are slow to lay off employees early in recessions and slow to add employees early in expansions, because frequent hiring and firing has high costs. Another reason is that early in expansions, more discouraged workers (who are not counted as unemployed because they are out of the labor force) may begin seeking work (thereby re-entering the labor force) than the number of new jobs that are available, which increases the unemployment rate.

For Further Reference:

(Study Session 4, Module 12.3, LOS 12.p)

CFA® Program Curriculum, Volume 2, page 320

Question #66 of 180

Question ID: 1417837

For which of the following investments in securities is a firm *most likely* to report unrealized gains or losses on its income statement?

A) Preferred stock, which the firm classifies as available-for-sale.

B) Five-year bonds, which the firm purchased in a private placement.

C) Listed call options, which the firm intends to exercise at expiration.

Explanation

Options are derivatives, which are reported at fair value on the balance sheet with unrealized gains and losses recognized on the income statement. Available-for-sale securities are marked to market on the balance sheet, but unrealized gains and losses are reported in owners' equity as other comprehensive income. Bonds purchased in a private placement cannot be resold to the public and therefore are likely to be classified as held-to-maturity, in which case the firm does not recognize unrealized gains or losses.

For Further Reference:

(Study Session 6, Module 18.6, LOS 18.e)

CFA® Program Curriculum, Volume 3, page 69

Question #67 of 180

Question ID: 1417799

An analyst obtains the following annual returns for a group of stocks: 10%, 8%, 7%, 9%, 9%, 12%,

11%, 9%, 30%, and 15%. This distribution:

A) has a median greater than its mode.

B) is skewed to the right, and the mean is less than the median.

C) is skewed to the right, and the mean is greater than the mode.

Explanation

Mean = 120 / 10 = 12, median = 10, and mode = 9. The distribution is skewed to the right, so the mean is greater than the median and mode. Generally, for positively skewed distributions, the mode is less than the median, which is less than the mean.

For Further Reference:

(Study Session 1, Module 2.5, LOS 2.l)

CFA® Program Curriculum, Volume 1, page 136

Question #68 of 180

Question ID: 1417833

Consider a manufacturing company and a financial services company. Interest expense is *most likely* classified as a non-operating component of net income for:

A) both of these companies. ✗

B) neither of these companies. ✗

C) only one of these companies. ✓

Explanation

Interest expense is shown as a non-operating component of net income for a manufacturing company but would typically be classified as an operating expense for a financial services company.

For Further Reference:

(Study Session 6, Module 17.3, LOS 17.f)

CFA® Program Curriculum, Volume 3, page 33

Question #69 of 180

Question ID: 1417831

The two primary assumptions in preparing financial statements under IFRS are:

A) accrual accounting and going concern. ✓

B) reasonable accuracy and accrual accounting. ✗

C) going concern and reasonable accuracy. ✗

Explanation

In the IFRS framework, the two assumptions that underlie the preparation of financial statements are accrual accounting and the going concern assumption.

For Further Reference:

(Study Session 5, Module 16.2, LOS 16.c)

CFA® Program Curriculum, Volume 2, page 524

Question #70 of 180

Question ID: 1417853

Forman, Inc., and Swoft, Inc., both operate within the same industry. Forman's stated strategy is to differentiate its premium products relative to its competitors, while Swoft is a low-cost producer. Given the companies' stated strategies, Forman *most likely* has:

A) higher gross margins relative to Swoft. ✓

B) lower advertising expenses relative to Swoft. ✗

C) lower research and development expenses relative to Swoft. ✗

Explanation

An analyst can use the historical trend in a firm's financial ratios as well as an industry relative comparison to assess the firm's business strategy. A firm producing premium products with a strategy of differentiation should have higher gross margins, higher advertising expenses, and higher research and development expenses relative to firms in its industry that pursue a low-cost-of-production strategy.

For Further Reference:

(Study Session 8, Module 26.1, LOS 26.a)

CFA® Program Curriculum, Volume 3, page 562

Question #71 of 180

Question ID: 1417827

Consider two currencies, the WSC and the BDR. The spot WSC/BDR exchange rate is 2.875, the 180-day riskless WSC rate is 1.5%, and the 180-day riskless BDR rate is 3.0%. The 180-day forward exchange rate that will prevent arbitrage profits is *closest* to:

A) 2.833 WSC/BDR. ✗

B) 2.854 WSC/BDR.

C) 2.918 WSC/BDR.

Explanation

Arbitrage-free forward = 2.875 WSC/BDR × [(1 + 0.015 / 2) / (1 + 0.03 / 2)] = 2.8538 WSC/BDR.

For Further Reference:

(Study Session 4, Module 14.2, LOS 14.h)

CFA® Program Curriculum, Volume 2, page 432

Question #72 of 180

Question ID: 1417800

Which of the following statements about probability concepts is *most accurate*?

A) Subjective probability is a probability that is based on personal judgment.

B) A conditional probability is the probability that two or more events happen concurrently.

C) An empirical probability is one based on logical analysis rather than on observation or personal judgment.

Explanation

Subjective probability is based on personal judgment. A *joint probability* is a probability that two or more events happen concurrently. An *a priori probability* is one based on logical analysis rather than on observation or personal judgment. An *empirical probability* is calculated using historical data. A *conditional probability* is the probability of one event happening on the condition that another event is certain to occur.

For Further Reference:

(Study Session 1, Module 3.1, LOS 3.a)

(Study Session 1, Module 3.1, LOS 3.b)

(Study Session 1, Module 3.1, LOS 3.d)

CFA® Program Curriculum, Volume 1, page 176

CFA® Program Curriculum, Volume 1, page 177

CFA® Program Curriculum, Volume 1, page 181

Question #73 of 180

Question ID: 1417834

An analyst gathered the following data about a company:

- 1,000 common shares are outstanding (no change during the year).
- Net income is $5,000.
- The company paid $500 in preferred dividends.
- The company paid $600 in common dividends.
- The average market price of their common stock is $60 for the year.
- The company had 100 warrants (for one share each) outstanding for the entire year, exercisable at $50.

The company's diluted earnings per share is *closest* to:

A) $4.42.

B) $4.55.

C) $4.83.

Explanation

The warrants are dilutive because their exercise price is less than the average market price.

shares issued to warrant holders = 100

warrants generate cash of 100(50) = $5,000

$$\text{repurchased shares} = \frac{5{,}000}{60} = 83$$

net new shares created = 100 − 83 = 17

Alternatively, $\frac{60-50}{60} \times 100 \approx 17$

$$\text{diluted EPS} = \frac{\text{NI}-\text{preferred dividends}}{\text{weighted average \# shares}+\text{warrant adjust}}$$

$$\text{diluted EPS} = \frac{5{,}000-500}{1{,}017} = \$4.42$$

(Module 60.1)

For Further Reference:

(Study Session 6, Module 17.4, LOS 17.h,)

CFA® Program Curriculum, Volume 3, page 43

Question #74 of 180

Question ID: 1417829

Which of the following sources of information should an analyst consider the *least* reliable?

A) Form 10-Q.

B) Proxy statement.

C) Corporate press release.

Explanation

Corporate press releases are written by management and are often viewed as public relations or sales materials because of the great possibility of inherent management bias in such documents. Often, little or none of the material is independently reviewed by outside auditors. Such documents are not mandated by the securities regulators. Form 10-Q (quarterly financial statements) and proxy statements are mandatory SEC filings in the United States, which inherently increases their reliability given the penalties that can be imposed by the SEC if any serious irregularities are subsequently found.

For Further Reference:

(Study Session 5, Module 15.2, LOS 15.e)

CFA® Program Curriculum, Volume 2, page 502

Question #75 of 180

Question ID: 1417816

A perfectly elastic aggregate supply curve represents:

A) the productive capacity of an economy at full employment.

B) the production decisions of firms only in the very short run.

C) the short-run relationship between output and the price level.

Explanation

The very short run aggregate supply curve is perfectly elastic because firms can adjust output by increasing or decreasing labor hours and capacity use without affecting input prices. The short-run aggregate supply curve is upward sloping. The long-run aggregate supply curve is perfectly inelastic and represents potential GDP, the full-employment output level of an economy.

For Further Reference:

(Study Session 3, Module 10.2, LOS 10.g)

CFA® Program Curriculum, Volume 2, page 146

Question #76 of 180

Question ID: 1417811

A hypothesis test of whether an independent variable explains a significant amount of the variation in the dependent variable is *most* appropriately constructed using a hypothesized value of a regression line's:

A) intercept.

B) error term.

C) slope coefficient.

Explanation

A test of whether an independent variable explains a significant amount of the variation in the dependent variable uses the null hypothesis that the slope coefficient is equal to zero. Rejecting the null hypothesis indicates the slope coefficient is statistically significant.

For Further Reference:

(Study Session 2, Module 7.2, LOS 7.f)

CFA® Program Curriculum, Volume 1, page 455

Question #77 of 180

Question ID: 1417798

The median of a distribution is *least likely* equal to:

A) the second quartile.

B) the third quintile.

C) the fifth decile.

Explanation

The median is the midpoint of a distribution, such that 50% of the observations are greater than the median and 50% are less than the median. This is equivalent to the second quartile (4 groups) and the fifth decile (10 groups). If a distribution is divided into quintiles (5 groups), 60% of the observations are less than the third quintile.

For Further Reference:

(Study Session 1, Module 2.4, LOS 2.i)

CFA® Program Curriculum, Volume 1, page 120

Question #78 of 180

Question ID: 1417847

A company takes a $10 million impairment charge on a depreciable asset in 20X3. The *most likely* effect will be to:

A) increase reported net income in 20X4.

B) decrease net income and taxes payable in 20X3.

C) increase return on equity and operating cash flow in 20X4.

Explanation

The impairment writedown in 20X3 will reduce depreciation expense in 20X4, which will increase 20X4 EBIT and net income. Operating cash flow and taxes payable are not affected because an impairment cannot be deducted from income for tax reporting purposes until the asset is sold or otherwise disposed of.

For Further Reference:

(Study Session 7, Module 22.3, LOS 22.i)

CFA® Program Curriculum, Volume 3, page 356

Question #79 of 180

Question ID: 1417823

The country of Colfax can produce 15 units of rice or 10 units of plastic per day of labor. The country of Birklund can produce 18 units of rice or 12 units of plastic per day of labor. With regard to potential benefits of trading rice and plastic between Colfax and Birklund:

A) there are no potential gains from trade.

B) Colfax should produce and trade rice for Birklund's plastic.

C) Birklund should produce and trade rice for Colfax's plastic.

Explanation

In this case, there are no clear potential benefits from trade because the countries' opportunity costs of production are equal. Colfax's opportunity cost of rice = 10 / 15 = 0.67 units of plastic, and Birklund's opportunity cost of rice = 12 / 18 = 0.67 units of plastic. Colfax's opportunity cost of plastic = 15 / 10 = 1.5 units of rice, and Birklund's opportunity cost of plastic = 18 / 12 = 1.5 units of rice.

For Further Reference:

(Study Session 4, Module 13.1, LOS 13.c)

CFA® Program Curriculum, Volume 2, page 354

Question #80 of 180

Question ID: 1417822

The public sector is *most likely* to increase as a proportion of economic output if fiscal policy:

A) and monetary policy are both expansionary. ✗

B) is contractionary and monetary policy is expansionary. ✗

C) is expansionary and monetary policy is contractionary. ✓

Explanation

Reducing taxes is likely to keep the public sector size unchanged, but an increase in government spending will increase the size of the public sector. Contractionary monetary policy is likely to decrease the output of the private sector as interest rates rise.

For Further Reference:

(Study Session 4, Module 12.3, LOS 12.t)

CFA® Program Curriculum, Volume 2, page 330

Question #81 of 180

Question ID: 1417825

Unlike members of free trade areas, customs union members:

A) adopt a single currency. ✗

B) remove barriers to trade with all members. ✗

C) adopt uniform trade restrictions with non-members. ✓

Explanation

Customs unions adopt uniform trade restrictions with non-members. Customs union members do not adopt a single currency. Both free trade areas and customs unions remove trade barriers among their members.

For Further Reference:

(Study Session 4, Module 13.2, LOS 13.f)

CFA® Program Curriculum, Volume 2, page 368

Question #82 of 180

Question ID: 1420061

Xanos Corporation faced a 50% marginal tax rate last year and showed the following financial and tax reporting information:

- Deferred tax asset of 1,000.
- Deferred tax liability of 5,000.

Based only on this information and the news that the tax rate will decline to 40%, Xanos Corporation's deferred tax:

A) asset will be reduced by 400 and deferred tax liability will be reduced by 2,000. ✗

B) liability will be reduced by 1,000 and income tax expense will be reduced by 800. ✓

C) asset will be reduced by 200 and income tax expense will be reduced by 1,000. ✗

Explanation

There is a 20% reduction in the tax rate [(40% − 50%) / 50% = –0.2]. Hence, the deferred tax asset will be 800 = 1,000(1 − 0.2), the deferred tax liability will be 4,000 = 5,000(1 − 0.2), and the income tax expense will fall by the net amount of the decline in the asset and liability balances (1,000 – 200 = 800).

For Further Reference:

(Study Session 7, Module 23.4, LOS 23.d)

CFA® Program Curriculum, Volume 3, page 399

Question #83 of 180

Question ID: 1417801

Alex White, CFA, is examining a portfolio that contains 100 stocks that are either value or growth stocks. Of these 100 stocks, 40% are value stocks. The previous portfolio manager had selected 70% of the value stocks and 80% of the growth stocks. What is the probability of selecting a stock at random that is either a value stock or was selected by the previous portfolio manager?

A) 28%.

B) 76%.

C) 88%.

Explanation

	Selected by the Previous Portfolio Manager	Selected by the Current Portfolio Manager	Total
Value stocks	28 (28%)	12 (12%)	40
Growth stocks	48 (48%)	12 (12%)	60
Total	76	24	100

This problem involves the addition rule for probabilities, P(A or B) = P(A) + P(B) − P(AB).

P(A) is the probability that a randomly selected stock is a value stock, which is given as 40%.

P(B) is the probability that a stock was picked by the previous manager. That probability is (0.7)(0.4) + (0.8)(1 − 0.4) = 0.76. The previous manager selected 76% of the stocks in the portfolio.

P(AB) is the probability that a randomly selected stock is a value stock picked by the previous manager. Since the previous manager picked 70% of the 40% of the stocks that are value stocks, the probability that a randomly selected stock is a value stock picked by the previous manager is 40% × 70% = 28%.

From this, we have P(A or B) = 40% + 76% − 28% = 88%.

For Further Reference:

(Study Session 1, Module 3.1, LOS 3.e)

CFA® Program Curriculum, Volume 1, page 182

Question #84 of 180

Question ID: 1417804

Which of the following statements about the normal distribution is *least accurate*? The normal distribution:

A) has a mean of zero and a standard deviation of one.

B) is completely described by its mean and standard deviation.

C) is bell-shaped, with tails extending without limit to the left and to the right.

Explanation

The *standard* normal distribution has a mean of 0 and a standard deviation of 1.

For Further Reference:

(Study Session 2, Module 4.2, LOS 4.f)

CFA® Program Curriculum, Volume 1, page 257

Question #85 of 180

Question ID: 1417852

The ratio of operating cash flow to net income is *most likely* to indicate low quality of earnings when it is:

A) less than one.

B) highly variable.

C) increasing over time.

Explanation

Operating cash flow that is less than net income (ratio less than one) or declining over time may indicate low-quality earnings from aggressive accounting or accounting irregularities. A ratio of operating cash flow to net income that is highly variable, but consistently greater than one, is not necessarily indicative of low-quality earnings.

For Further Reference:

(Study Session 8, Module 25.3, LOS 25.i)

CFA® Program Curriculum, Volume 3, page 544

Question #86 of 180

Question ID: 1417815

A natural monopoly is *most likely* to exist when:

A) economies of scale are great.

B) average total cost increases as output increases.

C) a single firm owns essentially all of a productive resource.

Explanation

A natural monopoly may exist when economies of scale are great. The large economies of scale mean that a single producer results in the lowest production costs.

For Further Reference:

(Study Session 3, Module 9.4, LOS 9.b)

CFA® Program Curriculum, Volume 2, page 69

Question #87 of 180

Question ID: 1417805

A manager forecasts a bond portfolio return of 10% and estimates a standard deviation of annual returns of 4%. Assuming a normal returns distribution and that the manager is correct, there is:

A) a 90% probability that the portfolio return will be between 3.2% and 17.2%.

B) a 95% probability that the portfolio return will be between 2.16% and 17.84%.

C) a 32% probability that the portfolio return will be between 6% and 14%.

Explanation

The 95% confidence interval is 10% ± 1.96(4%) or from 2.16% to 17.84%. The 90% confidence interval is 10% ± 1.65(4%) or from 3.4% to 16.6%. The probability of a return ± 1 standard deviation from the mean, between 6% and 14%, is approximately 68%.

For Further Reference:

(Study Session 2, Module 4.2, LOS 4.h)

CFA® Program Curriculum, Volume 1, page 261

Question #88 of 180

Question ID: 1417842

Al Pike, CFA, is analyzing Red Company by projecting pro forma financial statements. Pike expects Red to generate sales of $3 billion and a return on equity of 15% in the next year. Pike forecasts that Red's total assets will be $5 billion and that the company will maintain its financial leverage ratio of 2.5. Based on these forecasts, Pike should project Red's net income to be:

A) $100 million.

B) $300 million.

C) $500 million.

Explanation

Based on the data given, use the basic DuPont equation and solve for expected net income.

ROE = (net income / revenues) × (revenues / total assets) × (total assets / total equity)

0.15 = (net income / $3 billion) × ($3 billion / $5 billion) × 2.5

net income / $3 billion = 0.1

net income = $300 million

Alternatively, A/E = 2.5 and assets = $5 billion, so equity = $2 billion.

net income / equity = 15%, so net income = 0.15($2 billion) = $300 million.

For Further Reference:

(Study Session 6, Module 20.4, LOS 20.d)

CFA® Program Curriculum, Volume 3, page 221

Question #89 of 180

Question ID: 1417843

During a period of falling costs of manufacturing, which of the following inventory cost methods would result in the greatest reported net income?

A) LIFO.

B) FIFO.

C) Average cost.

Explanation

With LIFO, more recent, lower costs would be used for COGS. A reduction in COGS will increase gross profits and net income, other things equal.

For Further Reference:

(Study Session 7, Module 21.1, LOS 21.b)

CFA® Program Curriculum, Volume 3, page 256

Question #90 of 180

Question ID: 1417808

Which of the following statements about sampling and estimation is *least accurate*?

A) Sampling error is the difference between the observed value of a statistic and the value it is intended to estimate. ✗

B) A simple random sample is a sample obtained in such a way that each element of the population has an equal probability of being selected. ✗

C) The central limit theorem states that the sample mean for a large sample size will have a distribution that is the same as the distribution of the underlying population. ✓

Explanation

According to the central limit theorem, the sample mean for large sample sizes will be distributed normally regardless of the distribution of the underlying population.

For Further Reference:

(Study Session 2, Module 5.1, LOS 5.b)

(Study Session 2, Module 5.1, LOS 5.c)

(Study Session 2, Module 5.1, LOS 5.d)

CFA® Program Curriculum, Volume 1, page 306

CFA® Program Curriculum, Volume 1, page 306

CFA® Program Curriculum, Volume 1, page 316

Question #91 of 180

Question ID: 1417870

Rodgers, Inc., has fixed operating expenses of $2 million and will break even with sales of $5 million. For sales of $7 million, an analyst would estimate the firm's operating income as:

A) $800,000.

B) $1,200,000.

C) $2,000,000.

Explanation

Since at breakeven sales, fixed costs + variable costs = revenue, variable costs for Rodgers at sales of $5 million must be $5 million − $2 million = $3 million, or 60% of sales. With sales of $7 million, variable costs are 0.6 × 7 million = 4.2 million. Operating income is then 7 million − 4.2 million − 2 million = $800,000.

By assuming some arbitrary price for the product such as $1,000, this problem can be solved in units as well. Variable costs would be $600 per unit and operating income would be 7,000 (1,000 − 600) − 2 million = $800,000.

For Further Reference:

(Study Session 10, Module 32.1, LOS 32.e)

CFA® Program Curriculum, Volume 4, page 104

Question #92 of 180

Question ID: 1417868

Weights to be used in calculating a company's weighted average cost of capital are *least appropriately* based on:

A) information from the company about its target capital structure.

B) the average capital structure weights for companies of a similar size.

C) the average capital structure weights for companies in the same industry.

Explanation

The weights used to calculate WACC should be based on the firm's target capital structure. If the company does not provide information about its target capital structure, an analyst can use the company's current capital structure or the average capital structure weights for the industry. Similar size is not enough for the average weights for other companies to be relevant if those companies are not in the same industry.

For Further Reference:

(Study Session 10, Module 31.2, LOS 31.c)

CFA® Program Curriculum, Volume 4, page 54

Question #93 of 180

Question ID: 1417934

A security's beta is *best* estimated by the slope of:

A) the capital market line.

B) the security market line.

C) the security's characteristic line.

Explanation

Beta, a measure of systematic risk, can be estimated as the slope coefficient from a regression based on the market model, $R_i = \alpha + \beta_i (R_{mkt} - R_f)$. This regression line is the security's characteristic line.

For Further Reference:

(Study Session 17, Module 50.1, LOS 50.e)

CFA® Program Curriculum, Volume 5, page 541

Question #94 of 180

Question ID: 1417940

Which of the following is *most* appropriately termed an emotional bias?

A) Status quo bias.

B) Mental accounting bias.

C) Anchoring and adjustment bias.

Explanation

Status quo bias, irrational resistance to change due to comfort with an existing situation, is a type of emotional bias. The other two choices are examples of cognitive bias. (Module 52.2)

For Further Reference:

(Study Session 18, Module 52.2, LOS 52.b,)

CFA® Program Curriculum, Volume 6, page 50

Question #95 of 180

Question ID: 1417938

In choosing asset classes for establishing strategic portfolio allocation across assets, the manager would *most* prefer that:

A) asset classes are only those with tradable liquid assets.

B) the asset classes span the broadest universe of investable assets.

C) correlations of asset returns within an asset class are significantly greater than correlations of asset class returns.

Explanation

The important points in the determination of asset classes are that assets included in a class have similar performance characteristics and a relatively high correlation of returns between assets, and that returns of asset classes have relatively low correlations to realize the benefits of diversification across asset classes. Some asset classes, such as real estate and hedge funds, may be illiquid. The asset classes in the strategic allocation should be mutually exclusive and cover the universe of investable assets available to the fund manager(s) based on the client's objectives and constraints, not the broadest possible universe of asset classes.

For Further Reference:

(Study Session 18, Module 51.1, LOS 51.f)

CFA® Program Curriculum, Volume 6, page 23

Question #96 of 180

Question ID: 1417863

The *most appropriate* method to estimate a company's cost of debt capital is to use:

A) a weighted average of the coupon rates on all the company’s outstanding debt.

B) the yield to maturity on bonds of other companies with the same credit rating as the company’s bonds.

C) the average rate market rate on outstanding company bonds for a company that issues only floating-rate bonds.

Explanation

A company may use the YTM on the bonds of other companies with the same credit rating and maturity as the company's debt when it is not publicly traded, an example of matrix pricing. Market yields to maturity should be used rather than the coupon rates. For companies that issue floating-rate debt, analysts should use the yield for a longer term that is estimated from the yield curve, rather than using current short-term rates that will likely change over the life of the bonds.

For Further Reference:

(Study Session 10, Module 30.1, LOS 30.c)

CFA® Program Curriculum, Volume 4, page 9

Question #97 of 180

Question ID: 1417867

A company is *most likely* to have a high proportion of equity in its capital structure if the company exhibits:

A) high operating risk. ✓

B) a low but stable growth rate of cash flows. ✗

C) assets that are primarily marketable securities. ✗

Explanation

Companies with a high degree of operating risk tend to have highly variable operating cash flows, making them less able to service debt compared to companies with less operating risk. Stable cash flows and high proportions of liquid assets typically enable companies to service a higher proportion of debt in their capital structures.

For Further Reference:

(Study Session 10, Module 31.1, LOS 31.a)

CFA® Program Curriculum, Volume 4, page 40

Question #98 of 180

Question ID: 1417941

A bank estimates the expected value of a one-month loss that exceeds ¥100 million to be ¥300 million. The ¥300 million estimate is *best* described as:

A) a value at risk. ✗

B) a conditional VaR. ✓

C) a scenario-based VaR.

Explanation

Conditional VaR is the expected value of a loss, given that the loss exceeds a minimum amount. Value at risk is the minimum loss that will occur over a period with a specified probability.

For Further Reference:

(Study Session 18, Module 53.1, LOS 53.g)

CFA® Program Curriculum, Volume 6, page 110

Question #99 of 180

Question ID: 1417861

From a liquidity management perspective, an increase in the number of days of payables is *best* described as:

A) liquidity neutral.

B) a pull on liquidity.

C) a source of liquidity.

Explanation

An increase in the number of days of payables suggests a company is taking longer to pay its vendors. This reduces the cash conversion cycle and represents effective working capital management, a source of liquidity for a company. A decrease in days of payables would be a pull on liquidity because the company is paying its vendors more quickly, which uses cash.

For Further Reference:

(Study Session 9, Module 29.1, LOS 29.b)

CFA® Program Curriculum, Volume 3, page 680

Question #100 of 180

Question ID: 1417857

Investing in a project that will help achieve a particular social or environmental objective is *most accurately* described as an example of:

A) impact investing.

B) positive screening.

C) responsible investing.

Explanation

Impact investing refers to promoting a specific social or environmental goal through investment actions, which may include investing in a particular project. Positive screening refers to identifying companies with best practices regarding environmental, social, or governance for consideration when investing. Responsible or sustainable investing refers to integrating social or environmental considerations in general into investment decisions.

For Further Reference:

(Study Session 9, Module 27.2, LOS 27.k)

CFA® Program Curriculum, Volume 3, page 632

Question #101 of 180

Question ID: 1417865

When computing weighted average cost of capital (WACC), what is the correct treatment of flotation costs, related to raising additional equity capital?

A) Increase the discount rate to account for flotation costs.

B) Adjust the initial project costs by the amount of the flotation costs.

C) Flotation costs are not substantial enough to be considered in adjusting the cost of equity.

Explanation

The correct method to account for flotation costs is to make the adjustment in the initial project cost. Adjusting the WACC is incorrect because flotation costs are a cash outflow at the initiation of the project, rather than an ongoing expense. Flotation costs can be substantial, typically 2% to 7% of the amount raised.

For Further Reference:

(Study Session 10, Module 30.2, LOS 30.g)

CFA® Program Curriculum, Volume 4, page 22

Question #102 of 180

Question ID: 1417933

Given the following correlation matrix, a risk-averse investor would *least* prefer which of the following 2-stock portfolios (all else equal)?

Stock	W	X	Y	Z
W	+1			
X	−0.2	+1		
Y	+0.6	−0.1	+1	
Z	+0.8	−0.3	+0.5	+1

A) W and Y.

B) X and Y.

C) X and Z.

Explanation

A risk-averse investor prefers less risk to more risk. The lower the correlation, the greater the risk reduction. Thus, a risk-averse investor would most prefer the portfolio with the lowest correlation coefficient and least prefer the one with the highest. Of the choices given, W and Y's correlation coefficient of +0.6 is the highest.

For Further Reference:

(Study Session 17, Module 49.3, LOS 49.g)

CFA® Program Curriculum, Volume 5, page 476

Question #103 of 180

Question ID: 1417935

A portfolio manager who is comparing portfolios based on their total risk should *most appropriately* use:

A) Jenson's alpha.

B) the Sharpe ratio.

C) the Treynor measure.

Explanation

The Sharpe ratio measures excess return per unit of total risk. The Treynor measure and Jenson's alpha are calculated with beta, not standard deviation, and are appropriate for analyzing portfolios based on systematic risk.

For Further Reference:

(Study Session 17, Module 50.2, LOS 50.i)

CFA® Program Curriculum, Volume 5, page 551

Question #104 of 180

Question ID: 1417859

Which of the following is *least likely* an advantage of using IRR to evaluate a project, compared to using the project's net present value? An IRR:

A) is a percentage return. ✔

B) can accommodate irregular cash inflows and outflows. ✘

C) is useful for ranking projects with equal initial outlays. ✘

Explanation

One advantage claimed for IRR is that because it is a percentage return, it is easier for non-financial managers to understand and compare to the company's cost of capital.

For Further Reference:

(Study Session 9, Module 28.2, LOS 28.b)

CFA® Program Curriculum, Volume 3, page 651

Question #105 of 180

Question ID: 1417936

Which of the following statements about the security market line (SML) and capital market line (CML) is *most accurate*?

A) The SML involves the concept of a risk-free asset, but the CML does not. ✘

B) The SML uses beta, but the CML uses standard deviation as the risk measure. ✔

C) Both the SML and CML can be used to explain a stock’s expected return. ✘

Explanation

The SML and CML both intersect the vertical axis at the risk-free rate. The SML describes the risk/return tradeoff for individual securities or portfolios, whereas the CML describes the risk/return tradeoff of various combinations of the market portfolio and a riskless asset.

For Further Reference:

(Study Session 17, Module 50.2, LOS 50.f)

CFA® Program Curriculum, Volume 5, page 541

Question #106 of 180

Question ID: 1417855

Which of the following practices is *most likely* to support the interests of minority shareholders?

A) Two-tier board.

B) Staggered board.

C) Cumulative voting.

Explanation

Cumulative voting for directors increases the probability that minority shareholders will have representation on the board of directors. A staggered board makes a hostile takeover less likely for all shareholders, possibly limiting their gains. A two-tier board has separate and independent supervisory and management boards. While this may be in the interests of shareholders as a group, there is no specific advantage to shareholders with a minority stake in the firm.

For Further Reference:

(Study Session 9, Module 27.1, LOS 27.b)

(Study Session 9, Module 27.1, LOS 27.f)

CFA® Program Curriculum, Volume 3, page 602

CFA® Program Curriculum, Volume 3, page 615

Question #107 of 180

Question ID: 1417931

Which of the following portfolios will have the lowest diversification ratio? A portfolio of:

A) 30 equally-weighted stocks with companies from the same industry.

B) 20 equally-weighted stocks with companies from different industries.

C) 30 equally-weighted stocks with companies from different industries.

Explanation

The diversification ratio of a portfolio equals its standard deviation of returns divided by the average standard deviation of the individual securities in the portfolio. Therefore, a more diversified portfolio will have a lower diversification ratio than a less diversified portfolio. A portfolio containing the highest number of securities from different industries will be the most diversified and will have the lowest diversification ratio. A portfolio of stocks from the same industry is likely to have a higher diversification ratio (reflecting less diversification) than a portfolio of stocks from different industries.

For Further Reference:

(Study Session 17, Module 48.1, LOS 48.a)

CFA® Program Curriculum, Volume 5, page 406

Question #108 of 180

Question ID: 1417871

The uncertainty about a firm's expected operating income is *most* appropriately referred to as:

A) sales risk.

B) business risk.

C) operating risk.

Explanation

The uncertainty (risk) associated with a firm's operating income is referred to as business (as opposed to financial) risk and results from both operating risk and sales risk.

For Further Reference:

(Study Session 10, Module 32.1, LOS 32.a)

CFA® Program Curriculum, Volume 4, page 86

Question #109 of 180

Question ID: 1417866

To derive the cost of equity for a thinly traded public company, Paul Dufray is estimating an asset beta for a comparable firm. In addition to the beta of the comparable firm, Dufray will need to estimate its:

A) sales risk and financial risk.

B) debt-to-equity ratio and tax rate.

C) operating leverage and financial leverage.

Explanation

To calculate the asset beta, the analyst will need to estimate the firm's beta, its debt-to-equity ratio, and its tax rate.

For Further Reference:

(Study Session 10, Module 30.2, LOS 30.f)

CFA® Program Curriculum, Volume 4, page 18

Question #110 of 180

Question ID: 1417856

Stakeholder theory is *most accurately* described as the belief that corporate governance should focus on managing:

A) the activities of a company in the best interests of its owners.

B) employee activities in compliance with ethical standards and applicable laws.

C) conflicts among different groups that have an interest in a company's activities.

Explanation

According to stakeholder theory, the focus of corporate governance is managing conflicts among the interests of different groups that have an interest in a company's activities. Shareholder theory holds that the focus of corporate governance should be to manage the activities of a company in the best interests of its owners.

For Further Reference:

(Study Session 9, Module 27.1, LOS 27.a)

CFA® Program Curriculum, Volume 3, page 600

Question #111 of 180

Question ID: 1417939

In a case where a client's ability to bear risk is significantly less than the client's expressed willingness to bear risk, the *most appropriate* action for a financial advisor is to:

A) counsel the client and attempt to change his attitude towards risk.

B) base the assessment of risk tolerance in the IPS on client's ability to bear risk.

C) attempt to educate the client about investment risk and correct any misconceptions.

Explanation

In a situation where the client's expressed willingness to bear investment risk is significantly greater than the client's ability to bear investment risk, the advisor's assessment of the client's risk tolerance in the IPS should reflect the client's ability to bear investment risk.

For Further Reference:

(Study Session 18, Module 51.1, LOS 51.d)

CFA® Program Curriculum, Volume 6, page 8

Question #112 of 180

Question ID: 1417937

Which of the following statements about risk is *most accurate*?

A) The capital market line plots expected return against market risk.

B) The efficient frontier plots expected return against unsystematic risk.

C) The security market line plots expected return against systematic risk.

Explanation

The capital market line plots expected return against standard deviation of returns for efficient portfolios. The efficient frontier plots expected return against the standard deviation of return, a measure of total risk.

For Further Reference:

(Study Session 17, Module 50.2, LOS 50.f)

CFA® Program Curriculum, Volume 5, page 541

Question #113 of 180

Question ID: 1417862

Which of the following indicators of a firm's liquidity position is *least* desirable?

A) Low operating cycle.

B) High inventory turnover.

C) High cash conversion cycle.

Explanation

The cash conversion cycle measures the amount of time it takes for the firm to turn the firm's cash investments in inventory back into cash. A high cash conversion cycle implies that the company has too much invested in working capital.

For Further Reference:

(Study Session 9, Module 29.1, LOS 29.c)

CFA® Program Curriculum, Volume 3, page 688

Question #114 of 180

Question ID: 1417869

Other things being equal, a company is *most likely* to issue additional debt if:

A) the alternative is to rely on internally generated capital.

B) doing so will only change its corporate bond rating from BBB to BB.

C) it is funding an acquisition that will generate significant cash flows.

Explanation

Funding an acquisition, especially one that is expected to generate significant cash flows, is often a reason for a company to issue additional debt. According to pecking order theory, managers prefer to finance a firm with internally generated capital than with additional debt. A change in a corporate bond rating from BBB to BB is a decrease from investment grade to speculative grade, which is likely to increase the bond issuer's cost of debt capital significantly.

For Further Reference:

(Study Session 10, Module 31.2, LOS 31.d)

CFA® Program Curriculum, Volume 4, page 57

Question #115 of 180

Question ID: 1417860

CPM Industries invested $300 million in new manufacturing equipment. The present value of the future after-tax cash flows from this project is $500 million. CPM has 100 million shares of outstanding common stock and currently trades for $24 per share. Assuming this project is new information and is independent of other expectations about the company, the stock price should theoretically:

A) decrease to $23.

B) increase to $26.

C) increase to $27.

Explanation

The NPV of the new equipment is $500 million – $300 million = $200 million. This NPV is added to CPM's current market value. On a per share basis, the addition is worth $200 million / 100 million shares, for a new addition to the share price of $2.00. Theoretical share price = $24.00 + $2.00 = $26.00.

For Further Reference:

(Study Session 9, Module 28.2, LOS 28.c)

CFA® Program Curriculum, Volume 3, page 654

Question #116 of 180

Question ID: 1417942

The type of technical analysis chart *most likely* to be useful for intermarket analysis is a:

A) candlestick chart.

B) volume chart.

C) relative strength chart.

Explanation

Relative strength charts display the price of an asset relative to the price of another asset or benchmark over time. This type of chart is useful for demonstrating whether one asset class or market has outperformed or underperformed another. Candlestick charts and volume charts are generally used to analyze a single asset or market over time.

For Further Reference:

(Study Session 18, Module 54.1, LOS 54.h)

CFA® Program Curriculum, Volume 6, page 195

CFA® Program Curriculum, Volume 6, page 195

Question #117 of 180

Question ID: 1417864

Parker, Inc. has the following securities outstanding:

- 100,000 shares of preferred stock that pays an annual dividend of $2.00, trading at $35.
- $5,000,000 face value 6% bonds with a YTM of 6%.
- 1 million shares of common stock trading at $28 per share.

Parker's cost of equity is 8% and its tax rate is 30%. The discount rate that Parker's management should use when evaluating new capital investments is *closest* to:

A) 7.00%.

B) 7.25%.

C) 7.50%.

Explanation

Cost of preferred stock is $2 / $35 = 5.71%.

After-tax cost of debt is 6% (1 – 0.30) = 4.2%.

Cost of equity is 8% (given).

Preferred stock outstanding = $35(100,000) = $3.5 million.

Debt outstanding is $5 million (given).

Common stock outstanding is $28 million (given).

Total securities value = $3.5 + $5 + $28 = $36.5 million.

Weighted average cost of capital = (3.5 / 36.5) × 5.71% + (5 / 36.5) × 4.2% + (28 / 36.5) × 8% = 7.26%.

For Further Reference:

(Study Session 10, Module 30.1, LOS 30.a)

CFA® Program Curriculum, Volume 4, page 6

Question #118 of 180

Question ID: 1417858

Bear Company produces gravel-hauling equipment. The company recently began producing the Mauler, a new line of equipment. Prior to beginning production of the Mauler, the company spent $10 million in research and development costs. Bear expects the Mauler line to generate positive cash flows beginning in the fourth year. However, Bear is forecasting a one-time expense in year 5 to comply with new government emission standards. The company will use an empty building it already owns to produce the Mauler. When analyzing the project cash flows for the Mauler, Bear should *least appropriately* include:

A) the use of the empty building.

B) the research and development cost.

C) the compliance cost for emissions standards.

Explanation

The R&D expenditure is a sunk cost that should not be considered in the project's cash flows. The opportunity cost of the empty building in its next-best use should be considered in the project analysis.

For Further Reference:

(Study Session 9, Module 28.1, LOS 28.a)

CFA® Program Curriculum, Volume 3, page 645

Question #119 of 180

Question ID: 1417932

Rolly Parker, CFA, has managed the retirement account funds for Misto Inc. for the last two years. Contributions and withdrawals from the account are decided by Misto's CFO. The account history is as follows, with account values calculated before same-date deposits and withdrawals:

Jan 1, 20X1	Beginning portfolio value	$10 million
Jul 1, 20X1	Account value	$11.2 million
Jul 1, 20X1	Deposit of cash	$1.2 million
Jan 1, 20X2	Account value	$12.5 million
Jan 1, 20X2	Withdrawal of cash	$0.6 million
Dec 31, 20X2	Account value	$15 million

The appropriate annual return to use in evaluating the manager's performance is *closest* to:

A) 9%.

B) 19%.

C) 22%.

Explanation

Since the portfolio manager is not directing the flow of cash into and out of the account, the time-weighted annual rate of return is the appropriate performance measure. Calculate the 2-year holding period return +1, then take the square root and subtract 1 to get the annual time-weighted rate of return: $[(11.2 / 10)(12.5 / 12.4)(15 / 11.9)]^{1/2} - 1 = 19.29\%$.

For Further Reference:

(Study Session 17, Module 49.1, LOS 49.a)

CFA® Program Curriculum, Volume 5, page 442

Question #120 of 180

Question ID: 1378638

With regard to environmental, social, and governance (ESG) considerations, which of the following statements is *most accurate*?

A) Fiduciary duty requires managers to integrate their clients' ESG-related considerations into investment decisions.

B) Integrating ESG factors into the analysis of a company's risk and return characteristics is not considered a violation of fiduciary duty.

C) A "values-based" objective involves investing in companies that have ESG-related opportunities that are not fully reflected in their share prices.

Explanation

Using ESG factors in estimating the risk and returns of a company is not considered a violation of a manager's fiduciary duty to clients and beneficiaries. ESG considerations may conflict with fiduciary duty if they result in the manager accepting lower returns or higher risk than they otherwise would. A "*values*-based" investment objective is to express the investor's ethical beliefs through investment decisions. A "*value*-based" approach to ESG investing refers to considering ESG-related risks and opportunities alongside traditional investment considerations.

For Further Reference:

(Study Session 9, Module 27.2, LOS 27.j)

CFA® Program Curriculum, Volume 3, page 632

Question #121 of 180

Question ID: 1417886

With respect a dividend payment, which of the following dates occurs first?

A) The record date.

B) The payment date.

C) The ex-dividend date.

Explanation

The ex-dividend date occurs prior to the record date and the payment date.

For Further Reference:

(Study Session 12, Module 38.1, LOS 38.d)

CFA® Program Curriculum, Volume 4, page 366

Question #122 of 180

Question ID: 1417893

Compared to corporate bonds, secondary market trading in government bonds is *most likely* to feature:

A) brokered markets.

B) earlier trade settlement.

C) narrower bid-ask spreads.

Explanation

Government bond trades typically settle in one day (T + 1) while corporate bond trades typically settle in two or three days (T+ 2 or T + 3). Government and corporate bonds trade primarily in dealer markets. Bid-ask spreads depend on an issue's liquidity and may be wider for an illiquid government issue than for a liquid corporate issue.

For Further Reference:

(Study Session 13, Module 40.1, LOS 40.d)

CFA® Program Curriculum, Volume 4, page 480

Question #123 of 180

Question ID: 1417919

How does the cost of holding the underlying asset affect option values?

A) Decreases both call and put values.

B) Decreases call values and increases put values.

C) Increases call values and decreases put values.

Explanation

Carrying costs of holding the underlying asset increase the value of call options and decrease the value of put options.

For Further Reference:

(Study Session 15, Module 46.3, LOS 46.k)

CFA® Program Curriculum, Volume 5, page 248

Question #124 of 180

Question ID: 1417921

Assume most hedge funds have a 2-and-20 fee structure and most funds of funds have a 1-and-10 fee structure. Over a long investment horizon, compared to net returns from investing directly in hedge funds, net returns from investing in funds of funds are *most likely* to be:

A) lower.

B) higher.

C) the same.

Explanation

Investing in funds of funds is likely to result in lower returns net of fees over time compared to investing directly in hedge funds. Funds of funds receive net-of-fees returns from the funds in which they invest, and charge their own investors an additional layer of management and incentive fees.

For Further Reference:

(Study Session 16, Module 47.1, LOS 47.c)

CFA® Program Curriculum, Volume 5, page 303

Question #125 of 180

Question ID: 1417883

A company is *most likely* to earn economic profits if it is operating in an industry characterized by:

A) high industry concentration, high barriers to entry, and low industry capacity.

B) low industry concentration, low barriers to entry, and low industry capacity.

C) low industry concentration, high barriers to entry, and high industry capacity.

Explanation

High industry concentration refers to an industry that has a small number of firms, which often leads to less price competition, higher pricing power, and higher return on invested capital. High barriers to entry refer to industries where it is costly for new competitors to enter the industry, which allows companies already in the industry to maintain high profitability and prices. Low industry capacity refers to a situation where demand is greater than supply at current prices, which allows companies to maintain high prices and profits.

For Further Reference:

(Study Session 12, Module 37.2, LOS 37.h)

CFA® Program Curriculum, Volume 4, page 324

Question #126 of 180

Question ID: 1417884

Among the types of factors that influence industry growth and profitability, the one that is *most likely* to affect consumer discretionary goods producers more than consumer staples producers is:

A) social factors.

B) demographic factors.

C) macroeconomic factors.

Explanation

Consumer discretionary goods purchases are very sensitive to economic cycles, while consumer staples are a non-cyclical industry.

For Further Reference:

(Study Session 12, Module 37.2, LOS 37.j)

CFA® Program Curriculum, Volume 4, page 309

Question #127 of 180

Question ID: 1417905

An investor buys an option-free bond that has a Macaulay duration of 15.0 and a modified duration of 14.5. If the rate of return on reinvested coupon income is 4.0% and the bond is sold after three years, the investor's annualized holding period return is *most likely* to be:

A) equal to the bond's yield to maturity at the time of purchase.

B) less than the bond's yield to maturity at the time of purchase.

C) greater than the bond's yield to maturity at the time of purchase.

Explanation

Based on the relationship between Macaulay and modified duration, the bond's yield to maturity at the time of purchase is (15.0 / 14.5) – 1 = 3.45%. If the rate of return on reinvested coupon income is greater than 3.45%, the yield to maturity increased after the investor bought the bond. Over an investment horizon shorter than the Macaulay duration, an increase in YTM decreases the bond's market price by more than it increases reinvestment income. Therefore, the investor's annualized holding period return is less than the yield to maturity at issuance.

For Further Reference:

(Study Session 14, Module 43.3, LOS 43.k)

CFA® Program Curriculum, Volume 5, page 45

Question #128 of 180

Question ID: 1417895

A 10%, 10-year bond is sold to yield 8%. One year passes, and the yield remains unchanged at 8%. Holding all other factors constant, the bond's price during this period will have:

A) increased.

B) decreased.

C) remained constant.

Explanation

The bond is sold at a premium. As time passes, the bond's price will move toward par. Thus, the price will fall.

N = 10; FV = 1,000; PMT = 100; I = 8; CPT → PV = $1,134

N = 9; FV = 1,000; PMT = 100; I = 8; CPT → PV = $1,125

For Further Reference:

(Study Session 13, Module 41.1, LOS 41.b)

CFA® Program Curriculum, Volume 4, page 523

Question #129 of 180

Question ID: 1417930

Which of the following real estate investments is *most likely* to be characterized by illiquidity?

A) Commercial property. ✓

B) Real estate investment trusts. ✗

C) Residential mortgage-backed securities. ✗

Explanation

Illiquidity is a disadvantage of direct investments in commercial property. Residential mortgage-backed securities and real estate investment trusts trade in liquid public markets.

For Further Reference:

(Study Session 16, Module 47.4, LOS 47.g)

CFA® Program Curriculum, Volume 5, page 350

(Study Session 16, Module 47.4, LOS 47.g)

Question #130 of 180

Question ID: 1417917

If a plain vanilla interest rate swap is replicated with a series of forward rate agreements (FRAs), at initiation, each FRA must have a forward rate equal to the swap's:

A) fixed rate and must have a value of zero. ✗

B) floating rate and must have a value of zero. ✗

C) fixed rate but may have a non-zero value.

Explanation

Each FRA would have a forward rate equal to the fixed rate in the interest rate swap but would not necessarily have a value of zero at initiation, although the sum of the values of the replicating FRAs would be zero.

For Further Reference:

(Study Session 15, Module 46.2, LOS 46.h)

CFA® Program Curriculum, Volume 5, page 245

Question #131 of 180

Question ID: 1417906

The return impact of a 25 basis point widening in yield for an option-free bond is greatest if it has a duration of:

A) 4 and convexity of 24.

B) 5 and convexity of 32.

C) 6 and convexity of 90.

Explanation

The impact on return will be greatest for the bond with the highest duration. For a 25 basis point (0.0025) increase in yield, the convexity adjustment is unlikely to be large enough to affect the ordering.

Calculations for each answer choice are as follows:

$$\text{Return impact} = -4(0.0025) + (1/2)(24)(0.0025)^2 = -0.99\%$$

$$\text{Return impact} = -5(0.0025) + (1/2)(32)(0.0025)^2 = -1.24\%$$

$$\text{Return impact} = -6(0.0025) + (1/2)(90)(0.0025)^2 = -1.47\%$$

For Further Reference:

(Study Session 14, Module 43.3, LOS 43.i)

CFA® Program Curriculum, Volume 5, page 36

Question #132 of 180

Question ID: 1417878

Which form of the efficient markets hypothesis (EMH) implies that an investor can achieve positive abnormal returns on average by using technical analysis?

A) None.

B) Weak form.

C) Weak form or semistrong form.

Explanation

An investor cannot achieve positive abnormal returns on average by using technical analysis if prices fully reflect all available security market (price and volume) information. The weak form of the EMH assumes prices reflect this information, and the semistrong and strong forms assume prices reflect additional (non-market) information as well.

For Further Reference:

(Study Session 11, Module 35.1, LOS 35.e)

CFA® Program Curriculum, Volume 4, page 249

Question #133 of 180

Question ID: 1417892

An analyst is considering a bond for purchase. The bond has a coupon that resets semiannually and is determined by the following formula:

coupon = 12% − (3.0 × 6-month Treasury bill rate)

This bond is *most* accurately described as:

A) a step-up note.

B) an inverse floater.

C) an inflation protected security.

Explanation

The bond is an inverse floater because the coupon rate will move opposite to any move in the reference rate.

For Further Reference:

(Study Session 13, Module 39.2, LOS 39.e)

CFA® Program Curriculum, Volume 4, page 437

Question #134 of 180

Question ID: 1417901

Asset-backed securities with a lockout period are *most likely* to be backed by:

A) automobile loans.

B) home-equity loans.

C) credit card receivables.

Explanation

Asset-backed securities backed by credit card receivables have a lockout period, during which principal repayments are reinvested in additional receivables.

For Further Reference:

(Study Session 13, Module 42.2, LOS 42.h)

CFA® Program Curriculum, Volume 4, page 623

Question #135 of 180

Question ID: 1417872

An investor has long exposure to the risk of the asset underlying an option when taking:

A) a short position in a put option.

B) a short position in a call option.

C) a long position in a put option.

Explanation

By taking a short position in a put option, the investor has long exposure to the risk in the underlying asset. Because the value of a put option decreases when the price of the underlying asset increases, the value of a short position in a put increases when the price of the underlying increases. Both a short position in a call option and a long position in a put option increase in value when the price of the underlying asset decreases; that is, these option positions have short exposure to the risk of the underlying asset.

For Further Reference:

(Study Session 11, Module 33.2, LOS 33.e)

CFA® Program Curriculum, Volume 4, page 155

Question #136 of 180

Question ID: 1417873

Porter, Inc., sells 200,000 newly issued shares to two institutions without registering the shares with its country's securities regulators. This transaction is *best* described as being:

A) illegal.

B) in the primary market.

C) in the secondary market.

Explanation

Sales of newly issued securities take place in the primary market. Registration of shares sold in private placements of securities is not required. The secondary market refers to the markets in which previously issued securities are traded.

For Further Reference:

(Study Session 11, Module 33.3, LOS 33.i)

CFA® Program Curriculum, Volume 4, page 167

Question #137 of 180

Question ID: 1417879

Roger Templeton, CFA, an analyst for Bridgetown Capital Management, is studying past market data to identify risk factors that produce anomalous returns. He tests monthly data on each of 60 financial and economic variables over a 15-year period to find which ones are related to stock index returns. Templeton identifies three variables that show statistically significant relationships with equity returns at a 95% confidence level. What is the *most likely* reason why Bridgetown's management should be skeptical of the anomalies Templeton has identified? The results may suffer from:

A) data snooping bias.

B) survivorship bias.

C) small sample bias.

Explanation

Data snooping bias results from the likelihood that some anomalies will show up by chance in a large enough number of tests. A test at the 5% significance level of the hypothesis that stock prices are not correlated with a variable will reject about 1 such hypothesis in 20 when the hypothesis is true.

For Further Reference:

(Study Session 11, Module 35.1, LOS 35.f)

CFA® Program Curriculum, Volume 4, page 250

Question #138 of 180

Question ID: 1417929

Commodities differ from other alternative investments in that:

A) returns are due only to price changes. ✓

B) specialized funds are available as an investment vehicle. ✗

C) they have a low correlation of returns with traditional investments. ✗

Explanation

Unlike alternative asset classes that produce income streams, commodities only generate returns from price changes. Most alternative investments have low return correlations with traditional investments. Specialized investment vehicles are available for many categories of alternative investments.

For Further Reference:

(Study Session 16, Module 47.4, LOS 47.f)

CFA® Program Curriculum, Volume 5, page 334

Question #139 of 180

Question ID: 1417911

A basis swap may be structured as:

A) a contingent claim only. ✗

B) a forward commitment only. ✓

C) either a contingent claim or a forward commitment. ✗

Explanation

Interest rate swaps are forward commitments. A basis swap is an interest rate swap in which the parties exchange one floating-rate obligation for another. (Module 45.2)

For Further Reference:

(Study Session 15, Module 45.2, LOS 45.c,)

CFA® Program Curriculum, Volume 5, page 158

Question #140 of 180

Question ID: 1417900

For an asset-backed security (ABS), a special purpose entity:

A) sells an asset to the issuing corporation, which then proceeds to issue the ABS.

B) is used to separate assets used as collateral from those of the company seeking financing through an ABS.

C) acts as an intermediary that purchases an asset from the company issuing an ABS and then resells it to obtain sufficient liquid funds to provide collateral for the ABS.

Explanation

A special purpose entity is a legal corporation to which the assets used as collateral in an ABS issue are sold. This transaction separates the assets backing the ABS from the other assets of the company that creates the SPE.

For Further Reference:

(Study Session 13, Module 42.1, LOS 42.b)

CFA® Program Curriculum, Volume 4, page 591

Question #141 of 180

Question ID: 1417896

The following interest rate information is observed:

	Spot Rates
1 year	10%
2 years	11%
3 years	12%

Based on this data, the 2-year forward rate one year from now is *closest* to:

A) 12%.

B) 13%.

C) 14%.

Explanation

$$f_1^2 = \left[\frac{(1+z_3)^{1+2}}{(1+z_1)^1}\right]^{1/2} - 1 = \left[\frac{(1.12)^3}{(1.10)}\right]^{1/2} - 1 = 13.01\%$$

Note: $\frac{(3\times12)-(1\times10)}{2} = 13$

For Further Reference:

(Study Session 13, Module 41.3, LOS 41.h)

CFA® Program Curriculum, Volume 4, page 546

Question #142 of 180

Question ID: 1417887

Beachballs, Inc., expects abnormally high earnings for the next three years due to the forecast of unusually hot summers. After the 3-year period, their growth will level off to its normal rate of 6%. Dividends and earnings are expected to grow at 20% for years 1 and 2 and 15% in year 3. The last dividend paid was $1.00. If an investor requires a 10% return on Beachballs, the price she is willing to pay for the stock is *closest* to:

A) $26.00.

B) $36.50.

C) $50.00.

Explanation

This is a supernormal growth stock valuation problem.

Step 1:	Find the dividends in the supernormal growth period. D_1 = 1.00(1.20) = \$1.20; D_2 = 1.20(1.20) = \$1.44; D_3 = 1.44(1.15) = \$1.656
Step 2:	Use the constant growth model to find the price at the end of period 2. $P_2 = \frac{D_3}{k-g} = \frac{1.656}{0.10-0.06} = \$41.40$
Step 3:	Discount all of the cash flows back to time zero. $P_0 = \frac{D_1}{(1+k)} + \frac{D_2}{(1+k)^2} + \frac{P_2}{(1+k)^2} = \frac{1.20}{1.10} + \frac{1.44}{(1.10)^2} + \frac{41.40}{(1.10)^2} = \$36.50$

For Further Reference:

(Study Session 12, Module 38.2, LOS 38.g)

CFA® Program Curriculum, Volume 4, page 375

Question #143 of 180

Question ID: 1417914

Under which of the following conditions does a forward contract have a positive value to the short party at expiration?

A) The forward price is less than the value of the forward contract.

B) The spot price of the underlying asset is less than the forward price.

C) The value of the forward contract is less than the spot price of the underlying asset.

Explanation

At expiration, a forward contract has positive value to the short party (and an equal negative value to the long party) if the spot price of the underlying asset is less than the price specified in the forward contract.

For Further Reference:

(Study Session 15, Module 46.1, LOS 46.d)

CFA® Program Curriculum, Volume 5, page 234

Question #144 of 180

Question ID: 1417908

Bert Reed owns a junior secured bond of a firm that has entered bankruptcy proceedings. Mia Tano owns a senior unsecured bond of the same firm. As a result of the bankruptcy, Reed and Tano each recover 80% of the interest and principal owed on their bonds. This outcome is *least likely* the result of:

A) an order of the bankruptcy court.

B) the pari passu ranking of these creditors.

C) a negotiated settlement among the firm's creditors.

Explanation

Secured creditors have priority of claims over unsecured creditors in a bankruptcy, rather than ranking pari passu with unsecured creditors. However, the priority of claims might not always be followed, either because the creditors have negotiated a different outcome or because a bankruptcy court has ordered one.

For Further Reference:

(Study Session 14, Module 44.1, LOS 44.c)

CFA® Program Curriculum, Volume 5, page 72

Question #145 of 180

Question ID: 1417924

An infrastructure fund invests in a water treatment plant. If an investor in the fund also invests additional funds in the water treatment plant, the investor is *most appropriately* referred to as engaging in:

A) co-investing.

B) direct investing.

C) add-on investing.

Explanation

The situation described is an example of co-investing.

For Further Reference:

(Study Session 16, Module 47.1, LOS 47.c)

CFA® Program Curriculum, Volume 5, page 303

(Study Session 16, Module 47.1, LOS 47.b)

Question #146 of 180

Question ID: 1417894

A repurchase agreement is *most accurately* described as:

A) an embedded option held by a bondholder.

B) a form of credit enhancement in a bond issue.

C) a source of short-term funding for a bondholder.

Explanation

A repurchase agreement is a form of short-term collateralized borrowing in which a bondholder sells a security and agrees to buy it back at a higher price.

For Further Reference:

(Study Session 13, Module 40.2, LOS 40.j)

CFA® Program Curriculum, Volume 4, page 502

Question #147 of 180

Question ID: 1417890

An asset-based valuation model would *most likely* provide a reliable estimate of market value for:

A) a pure-play online news site.

B) a multinational freight distribution firm.

C) a privately held metal fabrication company.

Explanation

Asset-based valuation involves determining market values for the subject company's assets and liabilities to calculate the equity value. Compared to the other answer choices, a privately held metal fabrication company will likely have a larger proportion of physical assets relative to intangible assets, and market values for its physical assets should be relatively easier to obtain. An online news site is likely to have a relatively small physical asset base and relatively high intangibles, making this company difficult to value using asset-based valuation. A large multinational corporation is likely to be difficult to value using an asset-based valuation model, even if the company has a large physical asset base relative to its intangibles, because it may have extensive international assets.

For Further Reference:

(Study Session 12, Module 38.3, LOS 38.l)

CFA® Program Curriculum, Volume 4, page 397

Question #148 of 180

Question ID: 1417915

Which of the following is *least likely* to change over the life of a derivatives contract?

A) The futures price. ✗

B) The risk-free rate. ✗

C) The forward price. ✓

Explanation

The price in a forward contract does not change over the contract's life. The price in a futures contract can change during the life of a futures contract because gains and losses are settled daily to return the value of the contract to zero. The risk-free rate can change at any time.

For Further Reference:

(Study Session 15, Module 46.1, LOS 46.b)

CFA® Program Curriculum, Volume 5, page 234

Question #149 of 180

Question ID: 1417928

A private equity firm that wants to receive money from a portfolio company without giving up control of the portfolio company is *most likely* to engage in:

A) a trade sale. ✗

B) a secondary sale.

C) a recapitalization.

Explanation

Recapitalization is when the company issues debt to fund a dividend distribution to equity holders (the fund). It is not an exit, in that the fund still controls the company, but often is an intermediate step toward an exit.

For Further Reference:

(Study Session 16, Module 47.3, LOS 47.e)

CFA® Program Curriculum, Volume 5, page 321

Question #150 of 180

Question ID: 1379093

If all other factors remain unchanged, which of the following would *most likely* reduce a company's price/earnings ratio?

A) The dividend payout ratio increases, and the dividend growth rate increases.

B) The dividend growth rate increases, and the required rate of return decreases.

C) The required rate of return increases, and the dividend payout ratio decreases.

Explanation

$$P/E = \frac{\text{dividend payout ratio}}{k - g}$$

$$g = \text{ROE} \times \text{retention rate}$$

Increases in *k* reduce P/E. Increases in *g* or the dividend payout ratio increase P/E.

For Further Reference:

(Study Session 12, Module 38.3, LOS 38.j)

CFA® Program Curriculum, Volume 4, page 375

CFA® Program Curriculum, Volume 4, page 385

Question #151 of 180

Question ID: 1417874

Which of the following statements about types of orders is *least accurate*?

A) Market orders are orders to buy or sell at the best price available.

B) Limit orders are orders to buy or sell at or away from the market price.

C) A stop buy order is typically used to protect a short position in a security and is placed below the current market price.

Explanation

A *stop buy order* is a conditional market order by which an investor directs the purchase of a stock if it rises to a certain price. Stop buys are placed above the current market price. Limit orders can have market price as the limit, used when lack of liquidity is a concern.

For Further Reference:

(Study Session 11, Module 33.3, LOS 33.h)

CFA® Program Curriculum, Volume 4, page 161

Question #152 of 180

Question ID: 1417927

With a soft lockup period of two years, investors in a hedge fund are:

A) able to get redemptions during the first two years, but only if they pay additional fees.

B) able to get redemptions during the first two years, but only if investment results do not meet the target return.

C) unable to get redemptions of more than a specified percentage of their fund investment during the first two years.

Explanation

A soft lockup period describes a provision that allows redemptions during the lockup period, but with significant additional fees for such redemptions.

For Further Reference:

(Study Session 16, Module 47.2, LOS 47.d)

CFA® Program Curriculum, Volume 5, page 310

Question #153 of 180

Question ID: 1417898

An analyst obtains a market quote for the two-year forward rate two years from now. To derive the next point on a theoretical annual forward rate curve, the analyst can use:

A) the two-year and five-year spot rates.

B) the three-year and four-year spot rates.

C) the three-year and five-year spot rates.

Explanation

Given the two-year forward rate two years from now, the next point on an annual forward rate curve is the two-year forward rate three years from now, 3y2y. This rate can be derived from the three-year and five-year spot rates as follows: $(1 + S_5)^5 = (1 + S_3)^3 (1 + 3y2y)^2$.

For Further Reference:

(Study Session 13, Module 41.4, LOS 41.j)

CFA® Program Curriculum, Volume 4, page 550

Question #154 of 180

Question ID: 1417912

A call option on a $25 stock with an exercise price of $30 sells for a premium of $4. At expiration, the writer of the call will experience a net loss on the option if the stock price is greater than:

A) $26.

B) $29.

C) $34.

Explanation

The call writer will experience a net loss on the call option if the stock's price exceeds X + C = $30 + $4 = $34.

For Further Reference:

(Study Session 15, Module 45.2, LOS 45.d)

CFA® Program Curriculum, Volume 5, page 170

Question #155 of 180

Question ID: 1417888

Question #155 of 180

Question ID: 1417888

The required rate of return used in the dividend discount model is *least likely* to be affected by a change in:

A) the expected rate of inflation.

B) the real risk-free rate of return.

C) the growth rate of earnings and dividends.

Explanation

The expected growth rate in dividends is an input into the dividend discount model, but the real risk-free rate, the expected inflation rate, and the risk premium are the components of the required rate of return.

For Further Reference:

(Study Session 12, Module 38.2, LOS 38.e)

CFA® Program Curriculum, Volume 4, page 369

Question #156 of 180

Question ID: 1417909

The credit rating agency practice of "notching" is *best* described as:

A) assigning different ratings to different debt issues from the same issuer.

B) downgrading or upgrading the rating of a debt issue or issuer by one increment.

C) adding a plus or minus sign to a rating to indicate a positive or negative outlook.

Explanation

"Notching" refers to the credit rating agency practice of assigning ratings to debt issues that differ from the issuer's credit rating. An issuer credit rating applies to a firm's senior unsecured debt. Debt issues with different seniority or covenants may be notched to a higher or lower issue credit rating.

For Further Reference:

(Study Session 14, Module 44.1, LOS 44.d)

CFA® Program Curriculum, Volume 5, page 78

Question #157 of 180

Question ID: 1417880

With regard to the implications of stock market efficiency for technical analysis and fundamental analysis, if market prices are:

A) weak-form efficient, technical analysis that depends only on past trading data should be of limited or no value.

B) semistrong-form efficient, fundamental analysis using the top-down approach should yield consistently superior returns.

C) semistrong-form efficient, fundamental analysis using only publicly available market information should generate abnormal returns after considering risk and transaction costs.

Explanation

If capital markets are weak-form efficient and semistrong-form efficient, no publicly available information can be used to earn abnormal (risk-adjusted) returns.

For Further Reference:

(Study Session 11, Module 35.1, LOS 35.e)

CFA® Program Curriculum, Volume 4, page 249

Question #158 of 180

Question ID: 1417889

The following data pertains to a firm's common stock:

- The stock will pay no dividends for two years.
- The dividend three years from now is expected to be $1.
- Dividends are expected to grow at a 7% rate from that point onward.

If an investor requires a 17% return on this investment, how much will the investor be willing to pay for this stock now?

A) $6.24.

B) $7.31.

C) $8.26.

Explanation

Time line = \$0 now; \$0 in year 1; \$0 in year 2; \$1 in year 3.

$$P_2 = \frac{D_3}{(k-g)} = \frac{1}{(0.17-0.07)} = \$10$$

Note that the price is always one year before the dividend date. Solve for the PV of \$10 to be received in two years.

FV = 10; N = 2; I = 17; CPT → PV = \$7.31.

For Further Reference:

(Study Session 12, Module 38.2, LOS 38.g)

CFA® Program Curriculum, Volume 4, page 375

Question #159 of 180

Question ID: 1417918

A bank borrows for 360 days and simultaneously lends the proceeds for 90 days. This transaction creates a synthetic forward rate agreement (FRA) *closest* to:

A) a long position in a 90-day FRA on 270-day LIBOR. ✔

B) a long position in a 90-day FRA on 360-day LIBOR. ✘

C) a short position in a 360-day FRA on 90-day LIBOR. ✘

Explanation

If a bank borrows for 360 days and simultaneously lends the proceeds for 90 days, it creates a synthetic long (borrower) position in a 90-day FRA on 270-day LIBOR. The bank has no net position for the first 90 days and a borrowing position at a fixed rate of interest for the subsequent 270 days.

For Further Reference:

(Study Session 15, Module 46.2, LOS 46.f)

CFA® Program Curriculum, Volume 5, page 239

Question #160 of 180

Question ID: 1417897

An analyst needs to estimate the value of an illiquid 7% BB+ rated bond that has eight years to maturity. Using matrix pricing, the analyst should *most appropriately* base an estimate for this bond on yields of:

A) on-the-run eight-year government bonds.

B) more frequently traded bonds rated BB+.

C) other BB+ rated bonds with similar liquidity to this bond.

Explanation

Matrix pricing for untraded or infrequently traded bonds should be based on yields of more frequently traded bonds with similar credit ratings.

For Further Reference:

(Study Session 13, Module 41.2, LOS 41.e)

CFA® Program Curriculum, Volume 4, page 533

Question #161 of 180

Question ID: 1417910

Acme Holdings operates in an industry for which three-year average financial ratios by credit rating are as follows:

Ratio	AAA	AA	A	BBB	BB	B	CCC
FCF/debt	32.0%	25.9%	21.8%	18.7%	12.3%	7.0%	3.1%
Debt/EBITDA	0.9×	1.3×	1.5×	1.9×	2.3×	3.5×	5.0×

If Acme has a three-year average debt-to-EBITDA ratio of 2.4 and a free cash flow to debt ratio of 7.1, its credit rating is *most likely* to be:

A) investment grade.

B) below investment grade.

C) borderline investment grade.

Explanation

Acme's financial ratios suggest its credit rating should be between BB and B, which is below investment grade.

For Further Reference:

(Study Session 14, Module 44.2, LOS 44.h)

CFA® Program Curriculum, Volume 5, page 91

Question #162 of 180

Question ID: 1417902

Commercial mortgage-backed securities (CMBS) loans typically have greater call protection than agency MBS loans because:

A) commercial mortgages may have yield maintenance charges.

B) smaller-sized mortgages typically are not refinanced if interest rates fall.

C) CMBS typically receive higher credit ratings from credit agencies than residential MBS.

Explanation

Any type of call protection structured into the loan itself (in this case, yield maintenance charges) increases the overall call protection of the CMBS. Agency MBS do not provide call protection at the individual loan level.

For Further Reference:

(Study Session 13, Module 42.2, LOS 42.g)

CFA® Program Curriculum, Volume 4, page 619

Question #163 of 180

Question ID: 1417882

Which of the following firms' earnings are likely to exhibit the greatest degree of sensitivity to the business cycle?

A) Furniture producer with high fixed costs as a proportion of total costs.

B) Entertainment producer with high variable costs as a proportion of total costs.

C) Food and beverage producer with high fixed costs as a proportion of total costs.

Explanation

Consumers buy fewer durable goods, such as furniture, during recessions and buy more during expansions. As a result, producers of these goods tend to have cyclical demand, revenues, and earnings. Operating leverage (high fixed costs as a proportion of total costs) also contributes to cyclicality of earnings.

For Further Reference:

(Study Session 12, Module 37.1, LOS 37.c)

CFA® Program Curriculum, Volume 4, page 309

Question #164 of 180

Question ID: 1417920

An American-style call option is *most likely* to be more valuable than an otherwise equivalent European-style call option if:

A) the call is deep in the money.

B) its underlying asset is a semiannual-pay bond.

C) implied volatility increases during the life of the call.

Explanation

American options can be more valuable than otherwise equivalent European options only if early exercise has value to the option holder. For call options, early exercise may be valuable if the underlying asset provides cash flows. Early exercise may be valuable for put options, particularly if they are deep in the money.

For Further Reference:

(Study Session 15, Module 46.4, LOS 46.o)

CFA® Program Curriculum, Volume 5, page 248

Question #165 of 180

Question ID: 1417891

For a domestic investor purchasing bonds in a foreign market and currency:

A) appreciation of both the asset and the foreign currency benefits the domestic investor.

B) depreciation of both the asset and the foreign currency benefits the domestic investor.

C) appreciation of the asset and depreciation of the foreign currency benefit the domestic investor.

Explanation

When the foreign currency appreciates, each foreign currency-denominated cash flow buys more domestic currency units—increasing the domestic currency return from the investment. The appreciation of the foreign asset benefits the investor as well.

For Further Reference:

(Study Session 13, Module 39.1, LOS 39.d)

CFA® Program Curriculum, Volume 4, page 432

Question #166 of 180

Question ID: 1417881

The type of share voting *most likely* to result in significant minority shareholders having an approximately proportional representation on the board of directors is:

A) statutory voting.

B) weighted voting.

C) cumulative voting.

Explanation

Under cumulative voting, shareholders receive one vote per share for each board position election but can vote them for any board candidate or spread them over multiple candidates. This allows, for example, a holder of 20% of the shares to elect one of five board members. Under statutory voting, a minority shareholder could not elect any board members based only on their share voting rights.

For Further Reference:

(Study Session 12, Module 36.1, LOS 36.b)

CFA® Program Curriculum, Volume 4, page 277

Question #167 of 180

Question ID: 1417876

Which of the following indexes is *most likely* to be rebalanced on a regular basis?

A) Price-weighted index.

B) Equal-weighted index.

C) Market-capitalization weighted index.

Explanation

Equal-weighted indexes require regular and frequent rebalancing, because price changes of their component securities will cause component weights to drift away from their target weights. Price-weighted indexes and market-capitalization weighted indexes generally do not require regular rebalancing, because both the target weight and actual weight of each security varies with the price of that security.

For Further Reference:

(Study Session 11, Module 34.2, LOS 34.f)

CFA® Program Curriculum, Volume 4, page 209

Question #168 of 180

Question ID: 1417975

Which of the following is *least likely* a benefit of fund of funds (FOF) investing?

A) FOFs may permit access to otherwise unavailable hedge funds.

B) FOFs allow investors to diversify the risks of holding a single hedge fund.

C) FoF investing has lower fees compared to investing in a typical hedge fund.

Explanation

The fee may actually be substantial since, in addition to paying the manager of the FOF, a fee must be paid to each hedge fund within the FOF.

For Further Reference:

(Study Session 16, Module 47.2, LOS 47.d)

CFA® Program Curriculum, Volume 5, page 310

Question #169 of 180

Question ID: 1417899

Jefferson Blake, CFA, believes there is a good opportunity to purchase an option-free 4% annual pay bond with three years left until maturity, a zero-volatility spread of 40 basis points, and a par value of $1,000. Blake observes that 1-year, 2-year, and 3-year government bond spot rates are currently 4.0%, 4.5%, and 4.75%, respectively. The maximum price Blake should be willing to pay for the bond is *closest* to:

A) $940.

B) $970.

C) $980.

Explanation

To compute the value of this bond, discount each of the cash flows at a different interest rate appropriate for the timing of the cash flow. The appropriate rates are 40 bp greater than the spot rates.

$$\frac{40}{(1.0400+0.0040)}+\frac{40}{(1.0450+0.0040)^2}+\frac{(40+1{,}000)}{(1.0475+0.0040)^3}=969.22$$

For Further Reference:

(Study Session 13, Module 41.5, LOS 41.k)

CFA® Program Curriculum, Volume 4, page 558

Question #170 of 180

Question ID: 1417923

Which provision of an alternative investment partnership's incentive fees is designed to prevent investors from paying multiple incentive fees for the same performance?

A) Hurdle rate.

B) High water mark.

C) Clawback provision

Explanation

If a partnership has a high water mark, incentive fees are based on increases in investors' accounts above their highest previous values. As a result, managers do not receive incentive fees on returns that reverse previous losses. A hurdle rate is a minimum return a manager must achieve in a given period to become eligible to receive incentive fees. A clawback provision enables the limited partners to recover incentive fees paid to the manager in earlier periods if subsequent losses negate some of the gains on which those incentive fees were based.

For Further Reference:

(Study Session 16, Module 47.1, LOS 47.c)

CFA® Program Curriculum, Volume 5, page 303

Question #171 of 180

Question ID: 1417885

Over the most recent period, Ladden Materials has seen slow growth, increased competition, and declining profitability in its industry. The phase of the industry life cycle for Ladden's industry is *most likely*:

A) mature.

B) decline.

C) shakeout.

Explanation

The shakeout phase of the industry life cycle is characterized by slowing growth, intense competition, and declining profitability. The mature phase is characterized by industry consolidation and little or no growth. In the decline phase of the industry lifecycle, growth is negative and excess capacity results.

For Further Reference:

(Study Session 12, Module 37.2, LOS 37.i)

CFA® Program Curriculum, Volume 4, page 332

Question #172 of 180

Question ID: 1417913

Derivatives markets are *most likely* to:

A) reduce transactions costs.

B) increase speculation and risk.

C) provide arbitrage opportunities to investors.

Explanation

The key advantages of derivatives markets are providing price information, reducing transactions costs, and shifting risks among market participants. Derivatives markets are highly efficient and arbitrage opportunities rarely exist or are quickly eliminated.

For Further Reference:

(Study Session 15, Module 45.2, LOS 45.e)

CFA® Program Curriculum, Volume 5, page 188

Question #173 of 180

Question ID: 1417903

Reinvestment risk is *least likely*:

A) minimized with zero-coupon bond issues.

B) more problematic for those investors with longer time horizons.

C) more problematic when the current coupons being reinvested are relatively small.

Explanation

Reinvestment risk becomes more problematic when the current coupons being reinvested are relatively large.

For Further Reference:

(Study Session 14, Module 43.1, LOS 43.a)

CFA® Program Curriculum, Volume 5, page 7

Question #174 of 180

Question ID: 1417907

A duration gap is *most accurately* described as a difference between a bond's:

A) Macaulay duration and effective duration.

B) duration and the bondholder's investment horizon.

C) actual change in value and the change estimated using duration and convexity.

Explanation

"Duration gap" refers to a difference between a bond's Macaulay duration and the bondholder's investment horizon.

For Further Reference:

(Study Session 14, Module 43.3, LOS 43.k)

CFA® Program Curriculum, Volume 5, page 45

Question #175 of 180

Question ID: 1417922

Which of the following is *most likely* to represent the management fees of a private capital fund?

A) 2% of invested capital.

B) 3% of committed capital.

C) 1% of drawn-down capital.

Explanation

Private equity management fees are typically a percentage of committed capital rather than invested (drawn-down) capital.

For Further Reference:

(Study Session 16, Module 47.1, LOS 47.c)

CFA® Program Curriculum, Volume 5, page 303

Question #176 of 180

Question ID: 1417877

Mike Bowers observes that during one year the return on the S&P 500 index is 20%. Recalculating the return on an equally weighted basis, Bowers estimates that the index return is 15%. The difference in the two calculations of return is *best* explained by:

A) large capitalization stocks outperforming small capitalization stocks. ✓

B) small capitalization stocks outperforming large capitalization stocks. ✗

C) dividends on the stocks in the index. ✗

Explanation

Because the S&P 500 index is market capitalization weighted, stocks with higher market capitalization have greater influence on the performance of the index. Because the index outperformed its equally weighted version, larger capitalization stocks performed better than smaller capitalization stocks.

For Further Reference:

(Study Session 11, Module 34.2, LOS 34.k)

CFA® Program Curriculum, Volume 4, page 213

Question #177 of 180

Question ID: 1417875

Which of the following is *most accurate* regarding the relationship between operational efficiency and informational efficiency?

A) Operational efficiency contributes to informational efficiency. ✓

B) Informational efficiency is independent of operational efficiency. ✗

C) There is a trade-off between operational efficiency and informational efficiency. ✗

Explanation

An operationally efficient market is characterized by low trading costs. The low trading costs of an operationally efficient market will encourage trading based on new information, thus making security prices more informationally efficient. High trading costs limit traders' ability to exploit violations of informational efficiency.

For Further Reference:

(Study Session 11, Module 33.3, LOS 33.k)

CFA® Program Curriculum, Volume 4, page 175

Question #178 of 180

Question ID: 1417925

A hedge fund's lockup period is the time during which:

A) the fund is closed to new investors. ✗

B) an investor may not redeem shares in the fund. ✓

C) the fund must return cash to an investor who has requested a redemption. ✗

Explanation

During a lockup period, an investor is restricted from redeeming shares.

For Further Reference:

(Study Session 16, Module 47.2, LOS 47.d)

CFA® Program Curriculum, Volume 5, page 310

Question #179 of 180

Question ID: 1417916

Derivatives pricing is based on the assumption that:

A) no arbitrage occurs. ✗

B) the law of one price holds. ✓

C) long and short investors are net risk-neutral. ✗

Explanation

Derivatives pricing is based on no-arbitrage pricing and replication, and therefore assumes the law of one price holds (i.e., two assets or portfolios with the same future payoffs must have the same price). Derivatives pricing does not assume long and short investors are net risk-neutral; rather, it determines no-arbitrage derivative prices using risk-neutral pricing.

For Further Reference:

(Study Session 15, Module 46.1, LOS 46.a)

CFA® Program Curriculum, Volume 5, page 228

Question #180 of 180

Question ID: 1417904

Siegel, Inc., has issued bonds maturing in 15 years but callable at any time after the first 8 years. The bonds have a coupon rate of 6%, and are currently trading at $992 per $1,000 par value. If interest rates decline over the next few years:

A) the call option embedded in the bonds will increase in value, but the price of the bond will decrease. ✗

B) the price of the bond will increase, but likely by less than a comparable bond with no embedded option. ✓

C) the price of the bond will increase, primarily as a result of the increasing value of the call option. ✗

Explanation

The value of the bond would increase due to the lower interest rates, but the increasing value of the call option would offset some portion of this increase in bond value because the bondholder is short the call option.

For Further Reference:

(Study Session 14, Module 43.2, LOS 43.e)

CFA® Program Curriculum, Volume 5, page 26